

Business Responsibility & Sustainability Report

SECTION A: GENERAL DISCLOSURES

I. Details of the listed entity

1.	Corporate Identity Number (CIN) of the Listed Entity	L24230TG1981PLC003201
2.	Name of the Listed Entity	NATCO Pharma Limited
3.	Year of incorporation	1981
4.	Registered office address	NATCO House, Road No.2, Banjara hills, Hyderabad - 500034, Telangana, India.
5.	Corporate address	NATCO House, Road No.2, Banjara hills, Hyderabad - 500034, Telangana, India.
6.	E-mail	investors@natcopharma.co.in
7.	Telephone	Tel: 040 23547532
8.	Website	https://www.natcopharma.co.in/
9.	Financial year for which reporting is being done	April 1, 2024 to March 31, 2025
10.	Name of the Stock Exchange(s) where shares are listed	National Stock Exchange of India Limited (NSE) and the BSE Limited
11.	Paid-up Capital	358 million
12.	Name and contact details (telephone, email address) of the person who may be contacted in case of any queries on the BRSR report	Mr. PSRK Prasad, Director and Executive Vice President, Corporate Engineering Services, Tel: 8542 226611 psrk@natcopharma.co.in Mr. Rajesh Chebiyam, Executive Vice President, Crop Health Sciences, Tel: 040 2354 7532 rajesh.chebiyam@natcopharma.co.in
13.	Reporting boundary - Are the disclosures under this report made on a standalone basis (i.e., only for the entity) or on a consolidated basis (i.e., for the entity and all the entities which form a part of its consolidated financial statements, taken together).	The disclosures are made in this report on a Standalone basis.
14.	Name of assurance provider	NA
15.	Type of assurance obtained	NA

II. Products/services

16. Details of business activities (accounting for 90% of the turnover):

S. No.	Description of Main Activity	Description of Business Activity	% of Turnover of the entity
1.	Manufacturing and sale of pharmaceutical products	NATCO operates in two different business segments: pharmaceuticals and agrochemicals. Within the pharma business segment, the Company drives its sales through Finished Dosage Forms (FDFs) and Active Pharmaceutical Ingredients (APIs).	100%

17. Products/Services sold by the entity (accounting for 90% of the entity's Turnover)

S. No.	Product/Service	NIC Code	% of total Turnover contributed
1.	Manufacture of pharmaceuticals, medicinal chemicals including Active Pharmaceutical Ingredients (API) and Finished Dosage Formulations	210	>90%

III. Operations

18. Number of locations where plants and/or operations/offices of the entity are situated

Location	Number of plants	Number of offices	Total
National	9 Manufacturing units and 2 R&D centres	1	12

19. Markets served by the entity:

a. Number of locations

Locations	Number
National (No. of States)	28 States and 8 Union Territories
International (No. of Countries)	50+

b. What is the contribution of exports as a percentage of the total turnover of the entity?

78.6% contribution of exports as a percentage of the total turnover of the entity

c. A brief on types of customers

Our customer base spans a diverse range of stakeholders, including distributors, stockists, hospitals, and government agencies. We also cater to leading global generic pharmaceutical companies, regional market leaders, and country-level partners across various countries and territories, ensuring comprehensive market coverage and strategic alignment.



IV. Employees

20. Details as at the end of Financial Year:



a. Employees and workers (including differently abled):

S. No	Particulars	Total (A)	Male		Female	
			No. (B)	% (B / A)	No. (C)	% (C / A)
EMPLOYEES						
1.	Permanent (D)	3779	3415	90.37%	364	9.63%
2.	Other than Permanent (E)	294	228	77.55%	66	22.45%
3.	Total employees (D + E)	4073	3643	89.44%	430	10.56%
WORKERS						
4.	Permanent (F)	420	380	90.48%	40	9.52%
5.	Other than permanent (G)	462	387	83.77%	75	16.23%
6.	Total workers (F + G)	882	767	86.96%	115	13.04%

b. Differently abled Employees and workers:

S. No	Particulars	Total (A)	Male		Female	
			No. (B)	% (B / A)	No. (C)	% (C / A)
DIFFERENTLY ABLED EMPLOYEES						
1.	Permanent (D)	14	13	92.86%	1	7.14%
2.	Other than Permanent (E)	1	0	0%	1	100%
3.	Total differently abled employees (D + E)	15	13	86.67%	2	13.33%
DIFFERENTLY ABLED WORKERS						
4.	Permanent (F)	5	5	100%	0	0
5.	Other than permanent (G)	4	4	100%	0	0
6.	Total differently abled workers (F + G)	9	9	100%	0	0

21. Participation/Inclusion/Representation of women



Particulars	Total (A)	No. and percentage of Females	
		No. (B)	% (B / A)
Board of Directors	9	1	11.11%
Key Management Personnel	2	0	0%

22. Turnover rate for permanent employees and workers

(Disclose trends for the past 3 years)



	FY 2024-25 (Turnover rate in current FY)			FY 2023-24 (Turnover rate in previous FY)			FY 2022-23 (Turnover rate in the year prior to the previous FY)		
	Male	Female	Total	Male	Female	Total	Male	Female	Total
Permanent Employees	17.48%	16.44%	17.38%	13.79%	1.87%	15.66%	14.4%	1.83%	16.23%
Permanent Workers	1.41%	4.44%	1.70%	0.31%	0.04%	0.35%	3.22%	1.14%	4.37%

Note: The previous years' data has been reconsidered, while the current FY 2024–25 figures are reported as per BRSR guidelines.

V. Holding, Subsidiary and Associate Companies (including joint ventures)**23. (a) Names of holding / subsidiary / associate companies / joint ventures**

S. No.	Name of the holding / subsidiary / associate companies / joint ventures (A)	Indicate whether holding/ Subsidiary/ Associate/ Joint Venture	% of shares held by listed entity	Does the entity indicated at column A, participate in the Business Responsibility initiatives of the listed entity? (Yes/No)
1.	NATCO Pharma Inc.	Subsidiary	100%	No
2.	NATCO Pharma (Canada) Inc.	Subsidiary	100%	No
3.	Time Cap Overseas Limited	Subsidiary	100%	No
4.	NATCO Farma Do Brasil Ltda.	Stepdown subsidiary	100%	No
5.	NATCO Pharma Asia Pte Ltd.	Subsidiary	100%	No
6.	NATCO Pharma Australia Pty Ltd.	Subsidiary	100%	No
7.	NATCO Life Sciences Philippines Inc.	Subsidiary	100%	No
8.	NATCO Pharma USA LLC	Stepdown subsidiary	100%	No
9.	PT. NATCO Lotus Farma	Subsidiary	51%	No
10.	NATCO Pharma Colombia S.A.S	Subsidiary	100%	No
11.	NATCO Pharma UK Limited	Subsidiary	100%	No

VI. CSR Details**24. (i) Whether CSR is applicable as per section 135 of Companies Act, 2013: (Yes/No)**

Yes



(ii) Turnover (in ₹): 40,945 million

(iii) Net worth (in ₹): 73,339 million

VII. Transparency and Disclosures Compliances**25. Complaints/Grievances on any of the principles (Principles 1 to 9) under the National Guidelines on Responsible Business Conduct:**

Stakeholder group from whom complaint is received	Grievance Redressal Mechanism in Place (Yes/No) (If yes, then provide web-link for grievance redress policy)	FY 2024-25 (Current Financial Year)			FY 2023-24 (Previous Financial Year)		
		Number of complaints filed during the year	Number of complaints pending resolution at close of the year	Remarks	Number of complaints filed during the year	Number of complaints pending resolution at close of the year	Remarks
Communities	Yes	—	—	—	—	—	—
Investors	Yes	—	—	—	—	—	—
(other than shareholders)							

Stakeholder group from whom complaint is received	Grievance Redressal Mechanism in Place (Yes/No) (If yes, then provide web-link for grievance redress policy)	FY 2024-25 (Current Financial Year)			FY 2023-24 (Previous Financial Year)		
		Number of complaints filed during the year	Number of complaints pending resolution at close of the year	Remarks	Number of complaints filed during the year	Number of complaints pending resolution at close of the year	Remarks
Shareholders	Yes	407	0	—	291	6	The pending complaints were received during the last week of the Quarter ended 31 st March, 2024 and the same had been resolved within due date
Employees and workers	Yes	—	—	—	—	—	—
Customers	Yes	—	—	—	—	—	—
Value Chain Partners	Yes	—	—	—	—	—	—

Web-link for Stakeholder Grievance Redressal policy : <https://admin.natcopharma.co.in/wp-content/uploads/2025/05/Stakeholder-grievance-redressal-policy-28082024103852.pdf>

26. Overview of the entity's material responsible business conduct issues

Please indicate material responsible business conduct and sustainability issues pertaining to environmental and social matters that present a risk or an opportunity to your business, rationale for identifying the same, approach to adapt or mitigate the risk along-with its financial implications, as per the following format

S No.	Material issue identified	Indicate whether risk or opportunity	Rationale for identifying the risk/opportunity	In case of risk, approach to adapt or mitigate	Financial implications of the risk or opportunity (Indicate positive or negative implications)
1	Energy and emissions	Opportunity	We have established goals to reduce GHG emissions across our facilities, with key initiatives such as sourcing renewable electricity, implementing captive solar, operating our own windmills and utilizing biofuel-fired boilers to drive these reductions	Our objective is to increase the percentage of renewable energy to 35% by the end of 2035. Along with that, our goal is to become carbon neutral by 2050.	Positive: Built-in advantages include lower overall energy costs and decreased emissions.

S No.	Material issue identified	Indicate whether risk or opportunity	Rationale for identifying the risk/opportunity	In case of risk, approach to adapt or mitigate	Financial implications of the risk or opportunity (Indicate positive or negative implications)
2	Water management	Risk and Opportunity	Opportunity: We are committed to responsible water management across all our operations. By actively monitoring and reducing water usage, we are addressing risks related to scarcity, pollution, and regulatory compliance, while also securing a sustainable future for both our business and the communities we serve. Risk: Water plays an essential role in pharmaceutical manufacturing, serving as a key input in the production, formulation, and processing of APIs, intermediates, and finished products. It is widely used in the manufacturing and cleaning activities. Therefore, water management becomes crucial for the Company's operations.	In FY 24-25, we successfully recycled 53.11% of our water. Our initiatives include adopting water-saving technologies, monitoring water consumption, treating and recycling wastewater, rainwater harvesting and reuse, and ensuring full compliance with water regulations.	Positive: A strong financial outlook driven by our efforts to reduce costs and optimize water usage. Negative: Costs associated with water scarcity, water pollution and fines for noncompliance.
3	Climate change	Risk and Opportunity	Risk: Climate change impacts such as extreme weather events, rising sea levels, and pose risks to operations, supply chains, and infrastructure, Opportunity: It also presents opportunities, energy efficiency improvements, and increased use of renewable energy.	We are conducting energy and water audits, investing in renewable energy and adapting infrastructure to mitigate climate change impacts. Our target is to increase RE in our energy mix to 35% by 2035 and achieve carbon neutrality by 2050.	Positive: Mitigation of climate-related risks and associated financial losses. Negative: Costs associated with climate-related damages, regulatory compliance.
4	Waste management	Risk	Improper waste management, environmental contamination, and failure to adhere to regulations can result in financial penalties, legal repercussions, and harm to an organization's reputation.	We ensure adherence to best practices, keeping our production facilities operate in compliance with the standards. Efforts are directed toward minimizing the organic and inorganic waste throughout all operational phases, promoting recycling and reuse while striving to limit landfill disposal.	Negative: Costs associated with waste disposal, fines for non-compliance and remediation expenses.
5	Health and safety	Risk and Opportunity	Opportunity: Our employees are the foundation of our operations, and we are committed to ensuring their health, safety, and well-being. Minimizing incidents and accidents enhances productivity and efficiency, ensuring a seamless supply of products. Risk: Health and safety incidents may disrupt the production activity and impact the wellbeing of the employees and workers.	We have established a comprehensive EHS policy that outlines our commitment to ensuring the health and safety of all employees across our operations. Two API units (Mekaguda & Chennai), Five Formulations units (Kothur, Nagarjuna Sagar, Vizag, Dehradun & Guwahati) and one R&D centre had accredited with ISO 14001-2015 EMS & ISO45001-2018 OHS Management systems.	Positive: Saved time with efficient systems in place. Negative: Expenses related to workplace incidents, including medical costs, legal charges, and regulatory penalties. It also leads to loss of productivity

S No.	Material issue identified	Indicate whether risk or opportunity	Rationale for identifying the risk/opportunity	In case of risk, approach to adapt or mitigate	Financial implications of the risk or opportunity (Indicate positive or negative implications)
6	Employee engagement and development	Opportunity	Skilled and well-trained employees are more efficient, creative, and committed. Investing in their growth promotes talent retention and strengthens overall organizational performance.	Facilitating continuous training and development, encouraging transparent communication, acknowledging and rewarding accomplishments, and supporting a healthy work-life balance.	Positive: Higher employee productivity results in higher output and efficiency, stronger talent retention, boosted innovation, and a positive work environment.
7	Community engagement and development	Opportunity	Engaging with local communities and investing in community development initiatives cultivate strong relationships, enhance brand image, and demonstrate a commitment to corporate social responsibility and community development.	Engaging in community outreach programs, supporting local initiatives, valuing community feedback, and proactively addressing local needs and concerns.	Positive: Positive societal impact, enhanced community relations and improved brand reputation.
8	Corporate Governance and Business Ethics	Risk and Opportunity	Risk: Inadequate adherence to the highest standards of corporate governance and business ethics may lead to regulatory and reputational issues Opportunity: Corporate Governance and Business Ethics are not just about “doing the right thing” — they create real business opportunities by building trust, attracting capital, reducing risks, and ensuring long-term growth. Our commitment to excellence enables us to foster a culture of ethics, earning the respect and loyalty of our stakeholders	Enforcing strong data security protocols, adhering to privacy regulations, encrypting confidential data, and training employees on data protection practices. We utilize advanced firewalls, the latest anti-virus and anti-malware software, and other security measures to safeguard data against both internal and external threats.	Positive: Establishing and implementing robust policies and procedures that uphold effective corporate governance contributes significantly to ensuring long-term business sustainability. Negative: Non-compliance with applicable regulatory standards can negatively impact the Company's reputation and pose risks to its long-term operational continuity.
9	Product Quality and Safety	Risk and Opportunity	Opportunity: Superior product quality forms the foundation of customer trust. We are committed to uncompromising standards of quality, safety, and effectiveness in our products, ensuring strict regulatory compliance while exceeding customer expectations. Through substantial investments in rigorous quality assurance practices, we aim to reduce the likelihood of product recalls and regulatory infractions. Risk: However, compromising on pharmaceutical product quality would imply a compromise on patients' overall health and wellbeing. This will also entail failure to comply with GxP (Good Laboratory Practices, Good Manufacturing Practices and Good Clinical Practices)	We follow stringent Good Manufacturing Practices (GMP) by conducting thorough testing of both raw materials and final products, ensuring validated manufacturing processes and frequent facility inspections. Furthermore, we maintain strong quality control measures and implement comprehensive pharmacovigilance systems to uphold safety and compliance.	Positive: Ensuring superior product quality builds customer confidence, driving business growth and increased revenue. Negative: Market share decline, financial setbacks, and product withdrawals.

S No.	Material issue identified	Indicate whether risk or opportunity	Rationale for identifying the risk/opportunity	In case of risk, approach to adapt or mitigate	Financial implications of the risk or opportunity (Indicate positive or negative implications)
10	Diversity and inclusion	Opportunity	Diverse and inclusive work environment drive creativity, innovation, and employee satisfaction. Embracing diversity improves decision-making and nurtures a culture of belonging.	Driving diversity and inclusion initiatives, promoting equality, providing training on inclusive practices, and fostering a workplace culture built on respect and acceptance.	Positive: Enhanced employee morale and retention, boosts productivity, and a stronger brand reputation as an inclusive employer.
11	Supply chain management	Risk and Opportunity	Opportunity: We take a proactive approach to supply chain management, allowing us to streamline resource allocation, enhance efficiency, and ensure continuous supply. Risk: However, despite these measures, we are still susceptible to supply chain disruptions that may affect operations.	Implementing supply chain transparency, diversifying suppliers, conducting risk assessments, and establishing contingency plans	Positive: A robust supply chain helps prevent disruptions, enhancing overall efficiency and performance. Negative: Delays in production could lead to revenue loss and not adherence to the delivery timeline.
12	Data privacy	Risk	The threat of trade secret loss or unauthorized disclosure of confidential information, along with potential external cyberattacks.	Enforcing strong data security protocols, adhering to privacy regulations, encrypting confidential data, and training employees on data protection practices. We utilize advanced firewalls, the latest anti-virus and anti-malware software, and other security measures to safeguard data against both internal and external threats.	Negative: Costs associated with data breaches. Failure to protect data privacy requirements can undermine the Company's reputation and threaten its long-term operational resilience. In addition, the reputational costs associated with data breaches further highlight the critical importance of safeguarding sensitive information.
13	Human rights	Risk	Violations of human rights in operations or supply chain can lead to legal liabilities, reputational damage, and loss of customer trust.	Implementing human rights due diligence, defining clear processes for human rights related grievances, addressing human rights issues in operations of the supply chain, and collaborating with stakeholders.	Negative: Costs associated with legal fees, regulatory fines and loss of market share.
14	Access and affordability	Opportunity	Providing access healthcare solutions enhances patient care, advances public health initiatives, and supports overall social well-being.	Implementing access programs, adopting equitable pricing strategies, and building partnerships to enhance the availability of medicines.	Positive: Larger market share, strengthened brand reputation, positive societal impact, and increased customer loyalty.

Note: At NATCO Pharma, identifying material ESG issues is essential to guiding our responsible business practices. Through a structured materiality assessment, we identify, prioritize, and validate key environmental and social issues that pose risks or offer opportunities. These include access to healthcare, product quality and compliance, environmental impact, employee well-being, and ethical governance. Each issue is assessed based on stakeholder relevance and potential financial implications. Our proactive approach ensures that ESG initiatives are targeted, meaningful, and support long-term value creation.

SECTION B: MANAGEMENT AND PROCESS DISCLOSURES

This section is aimed at helping businesses demonstrate the structures, policies and processes put in place towards adopting the NGRBC Principles and Core Elements.

Disclosure Questions	P 1	P 2	P 3	P 4	P 5	P 6	P 7	P 8	P 9
Policy and management processes									
1. a. Whether your entity's policy/policies cover each principle and its core elements of the NGRBCs. (Yes/No)	Yes, we follow all National Guidelines on Responsible Business Conduct (NGRBC) principles through various internal policies and practices. In addition, we have several other policies that support and reflect the core principles of the NGRBC.								
b. Has the policy been approved by the Board? (Yes/No)	Yes								
c. Web Link of the Policies, if available	Yes, we have policies in place in our website and also attached an Annexure below to provide individual weblink of each of the policies.								
2. Whether the entity has translated the policy into procedures. (Yes / No)	Yes								
3. Do the enlisted policies extend to your value chain partners? (Yes/No)	Yes								
4. Name of the national and international codes/certifications/labels/ standards (e.g. Forest Stewardship Council, Fairtrade, Rainforest Alliance, Trustea) standards (e.g. SA 8000, OHSAS, ISO, BIS) adopted by your entity and mapped to each principle.	P1- ISO 45001, USFDA, PMDA (Japan), COFEPRIS (Mexico), WHO GMP, ANVISA (Brazil), TGA (Australia) P2- ISO 14001: 2015, USFDA, PMDA (Japan), COFEPRIS (Mexico), WHO GMP, ANVISA (Brazil), TGA (Australia) P3- ISO 45001: 2018 P4- P5- ISO 45001: 2018 P6- ISO 14001: 2015, USFDA, PMDA (Japan), COFEPRIS (Mexico), WHO GMP, ANVISA (Brazil), TGA (Australia) P7- P8-As per the CSR Rules prescribed under the Companies Act, 2013 P9- USFDA, PMDA (Japan), COFEPRIS (Mexico), WHO GMP, ANVISA (Brazil), TGA (Australia)								
5. Specific commitments, goals and targets set by the entity with defined timelines, if any.	Note 1								
6. Performance of the entity against the specific commitments, goals and targets along-with reasons in case the same are not met.	Refer to Note 1 where we have mentioned our specific goals, commitment and targets along with the current performance status against each commitment, targets and goals.								

Disclosure Questions	P 1	P 2	P 3	P 4	P 5	P 6	P 7	P 8	P 9
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Governance, leadership and oversight

7. Statement by director responsible for the business responsibility report, highlighting ESG related challenges, targets and achievements (listed entity has flexibility regarding the placement of this disclosure)

At NATCO Pharma, sustainability is significant our business, driving strategic decisions and daily operations. It is not an option but a fundamental responsibility that defines our identity and long-term vision. From the initial concept of a product, we embed environmentally conscious design and adhere to responsible development timelines ensuring sustainable operations while we deliver solutions to those in need.

In Sync with Nature:

We are progressively increasing our reliance on renewable electricity, with 25.05% of total electricity consumption now sourced from renewable sources such as solar, wind and also from purchased renewable electricity. Additionally, 12.98% of the company's overall energy usage comes from renewable sources. Looking ahead, Natco aims to expand the renewable share in its energy mix to 35% by 2035 and achieve 100% carbon neutrality by 2050, reinforcing its commitment to sustainability and environmental responsibility.

Natco Pharma is dedicated to sustainability, prioritizing efficient water management and waste reduction. In FY 2024-25, 53.11% of total water consumption was recycled and we aim to develop a roadmap towards water neutrality in Mekaguda API and Chennai API units.

We continue to enhance reuse, recycling, and co-processing, transforming waste into alternative fuels and raw materials instead of landfills or incineration.

Inclusive Growth:

At NATCO Pharma, our primary focus is the well-being and growth of our people. We have implemented initiatives that nurture inclusivity, equal opportunity, and mutual respect, ensuring a safe and dignified workplace for all. Beyond corporate responsibility, we are committed to social impact, supporting education, healthcare, and empowerment programs through the NATCO Trust (CSR arm of NATCO Trust), making a long-lasting difference in the communities we serve.

NATCO Pharma is guided by a strong purpose: "Make Specialty medicines accessible to all" by leveraging our expertise in Research and Development.

Product quality and safety are fundamental to our sustainability commitment. We proactively embed responsible product stewardship, integrating sustainable practices across the entire lifecycle. By leveraging eco-friendly technologies and process efficiencies, we enhance resource optimization, waste reduction, and ensure the long-term sustainability of our healthcare solutions.

Leading With Responsibility:

At NATCO Pharma, we uphold strong ethical values and a rigorous corporate governance framework, ensuring transparency and stakeholder protection. Our diverse Board, enriched by varied expertise, perspectives, and backgrounds, strengthens our leadership. We have implemented a Sustainable Sourcing Policy. Additionally, we are taking initiatives to acquire ISO: 27001 (Information Security Management System) certifications across all locations, reinforcing our commitment to information security and asset protection.

8. Details of the highest authority responsible for implementation and oversight of the Business Responsibility policy (ies).	Board of Directors
9. Does the entity have a specified Committee of the Board/ Director responsible for decision making on sustainability related issues? (Yes / No). If yes, provide details.	Yes, and also ESG Core Committee headed by a director and all the key functional heads and site heads as members to develop and review sustainability related ESG policies, goals, and programs of the company.

10. Details of Review of NGRBCs by the Company:

Subject for Review	Indicate whether review was undertaken by Director / Committee of the Board/ Any other Committee									Frequency (Annually/ Half yearly/ Quarterly/ Any other – please specify)								
	P	P	P	P	P	P	P	P	P	P	P	P	P	P	P	P	P	P
	1	2	3	4	5	6	7	8	9	1	2	3	4	5	6	7	8	9
Performance against above policies and follow up action	Yes, review was undertaken by the Director.									Annually								
Compliance with statutory requirements of relevance to the principles, and, rectification of any non-compliances	Yes, review was undertaken by the Director.									Annually								

11. Disclosure Questions	P 1	P 2	P 3	P 4	P 5	P 6	P 7	P 8	P 9
Has the entity carried out independent assessment/ evaluation of the working of its policies by an external agency? (Yes/No). If yes, provide name of the agency.	No, the company internally reviews working of the above-mentioned policies.								

12. If answer to question (1) above is “No” i.e. not all Principles are covered by a policy, reasons to be stated:

Not Applicable.

Name of the Policy	Weblink
P1 Businesses should conduct and govern themselves with Ethics, Transparency and Accountability.	
Natco Pharma conducts its business activities with utmost importance to ethics, transparency, and accountability.	
Whistle Blower Policy	Policy Link
Code of Conduct for Board Members, Senior Management Personnel and Employees	Policy Link
Related Party Transaction Policy	Policy Link
Code of Practices and Procedures for Fair Disclosure of Unpublished Price Sensitive Information	Policy Link
Materiality Policy	Policy Link
Code Of Conduct to Regulate, Monitor and Report Trading by Designated Persons	Policy Link
Dividend Distribution Policy	Policy Link
Determination of Material Subsidiaries Policy	Policy Link
Composition of Committees	Policy Link
Policy on Preservation of Documents and Archival	Policy Link
Nomination and Remuneration Policy	Policy Link
Anti-Corruption / Anti-Bribery Policy	Policy Link
In addition to the above, there are other policies and rules, which are internal documents of the Company and are accessible to the employees of the Company on Intranet.	
P2 Businesses should provide goods and services that are safe and contribute to sustainability throughout their life cycle.	
Natco Pharma has drafted several policies to contribute to sustainability throughout its operations.	
Environment, Health and Safety Policy	Policy Link
Sustainable Procurement Policy	Policy Link

Name of the Policy	Weblink
P3 Businesses should promote the well-being of all employees.	
The Company has adopted various employee-oriented policies in line with the general laws and regulations and sound ethical practices.	
Equal Opportunity Policy	Policy Link
Environment, Health and Safety Policy	Policy Link
Stakeholder Engagement Policy	Policy Link
Human Rights Policy	Policy Link
Stakeholder Grievance Redressal Policy	Policy Link
P4 Businesses should respect the interests of, and be responsive towards all stakeholders, especially those who are disadvantaged, vulnerable and marginalized.	
The Company respects the interest of all its stakeholders, including those who are disadvantaged, vulnerable & marginalized.	
Whistle Blower Policy	Policy Link
Risk Management Policy	Policy Link
Dividend Distribution Policy	Policy Link
Code of Practices and Procedures for Fair Disclosure of Unpublished Price Sensitive Information	Policy Link
Materiality Policy	Policy Link
Determination of Material Subsidiaries Policy	Policy Link
Code of Conduct to Regulate, Monitor and Report Trading by Designated Persons	Policy Link
Stakeholder Engagement Policy	Policy Link
Stakeholder Grievance redressal Policy	Policy Link
P5 Businesses should respect and promote human rights.	
Natco Pharma strives to safeguard and uphold human rights in all ways possible.	
Human Rights Policy	Policy Link
Nomination and Remuneration Policy	Policy Link
Equal Opportunity Policy	Policy Link
Stakeholder Grievance Redressal Policy	Policy Link
P6 Businesses should respect, protect, and make efforts to restore the environment.	
The company takes various sustainability principle into account for restoring the environment.	
Environment, Health and Safety Policy	Policy Link
P7 Businesses, when engaged in influencing public and regulatory policy, should do so in a responsible manner.	
The company considers all the regulatory policies and abides by them.	
Stakeholder Engagement Policy	Policy Link
Responsible Advocacy Policy	Policy Link
P8 Businesses should support inclusive growth and equitable development.	
The company supports growth and development of all its employees, workers, and individuals associated in its value chain activities.	
Stakeholder Engagement Policy	Policy Link
CSR Policy	Policy Link
Stakeholder grievance redressal Policy	Policy Link
P9 Businesses should engage with and provide value to their customers and consumers in a responsible manner.	
The company prioritizes the customers and has drafted specific policies to serve them better.	
Data Privacy and cybersecurity Policy	Policy Link
Stakeholder Engagement Policy	Policy Link
Stakeholder grievance redressal Policy	Policy Link

Note1:

Focus Area	Commitments/ Goals/ Targets	Current Performance
Principle 3: Enhancing safety culture at workplace	- Zero reportable incident and injury free workplace. - ISO 45001 – 2018; Occupational Health and Safety Management Certification for all our manufacturing facilities by 2025-26. - Imparting training to employees of 40 hours/person/year by 2025-26.	- In FY 24-25, we have recorded 0.073 Lost Time Injury Frequency Rate (LTIFR) (per one million-person hours worked) and total number of recordable work-related injuries are 4. - Two API units (Mekaguda & Chennai), Five Formulations units (Kothur, Nagarjuna Sagar, Vizag, Dehradun & Guwahati) and one R&D centre had accredited with ISO45001-2018 OHS Management systems. - Imparted approximately 27 hours/person/year training in FY 24-25.
Principle 6: Our commitment to Environmental stewardship	- Enhancing the renewable energy component in energy mix to 35% by 2035. - Carbon neutrality by 2050. - Roadmap for Water neutrality for our API Units located at Mekaguda and Chennai by 2025 -26. - ISO 14001 – 2015; Environment Management System certification for all our manufacturing facilities by 2025-26.	- In FY 24-25, 25.05% of our overall electricity consumption and 12.98% of our entire energy (electricity+fuel) consumption was derived from Renewable sources. - Reduction in scope 1 emission compared to last year is 2.31%. - In FY 24-25, total water recycled with respect to consumption is 53.11%. Moreover, reduction in water withdrawal and water consumption compared to last year is respectively 5.21% and 8.16%. - Two API units (Mekaguda & Chennai), Five Formulations units (Kothur, Nagarjuna Sagar, Vizag, Dehradun & Guwahathi) and one R&D centre had accredited with ISO 14001-2015 EMS.
Principle 8: Our social commitment	- Aiming to enhance early childhood education outcomes by deploying an additional educator across Anganwadi Centres (AWCs), directly benefiting 500 children in the 3–6-year age group. The intervention will focus on delivering structured, high-quality, play-based learning using the RIVER Multi-Grade Multi-Level (MGML) pedagogy. - Improve FLN (Foundational Literacy and Numeracy) outcomes with a partner organisation in 1356 schools in 2 districts of Telangana. - Construction of Secondary Eye Care Centre at Munipalle, Guntur in collaboration with LVPEI (FY 25) and Extension Block at NATCO Cancer Centre in Guntur General Hospital (FY 27).	- NATCO Trust (CSR arm) started the implementation of the pilot initiative in 35 Anganwadi Centres in Kothur, Hyderabad Nagarjuna Sagar and Guntur benefiting 713 children. - As part of the Foundational Literacy and Numeracy (FLN) initiative, classroom practices were enhanced, mentor effectiveness improved, teacher trainings were conducted with data informed review practices in Medchal Malkajgiri and Bhadradi Kothagudem districts of Telangana. - Our Secondary Eye Care Centre in collaboration with LVPEI in Andhra Pradesh was inaugurated on 13 January 2025 at Munipalle Village, Ponnur Mandal, Guntur District, with an estimated number of 1689 people benefitted from this project. - NATCO Trust signed an MoU with Govt of Andhra Pradesh to build an extension block to the existing NATCO Cancer Centre to add more beds in addition to the existing facility. As part of the initiative, NATCO Trust will facilitate the construction of a new 100-bed block alongside the existing 100-bed facility at the Cancer Centre.

1

PRINCIPLE

Businesses should conduct and govern themselves with integrity, and in a manner that is Ethical, Transparent and Accountable.



At NATCO Pharma, we strive to achieve a balanced approach that aligns human needs with environmental sustainability and long-term economic growth. The Company has established a strong and equitable governance framework that promotes and enforces ethical values across the Company, safeguarding the interests of all stakeholders. We have instituted a comprehensive Code of Conduct that clearly defines the expectations, responsibilities, and standards applicable to Board Members, Senior Management Personnel and Employees. Adherence to this Code is mandatory and reflects our unwavering commitment to ethical business practices and any instances of non-compliance whether identified or reported are handled with utmost seriousness and transparency.

Essential Indicators**1. Percentage coverage by training and awareness programmes on any of the Principles during the financial year:**

Segment	Total number of training and awareness programmes held	Topics / principles covered under the training and its impact	%age of persons in respective category covered by the awareness programmes
Board of Directors	4	A comprehensive Familiarisation Programme is conducted for the Board of Directors and key managerial personnel on a need-basis, providing updates on various business operations, evolving market dynamics, investor highlights, and changes in regulations. On a quarterly basis, the company provides updates on financial results, overall business compliance, improvements, and concerns related to environmental safety and health performance, products, and processes.	100%
Key Managerial Personnel	4		100%
Employees other than BoD and KMPs	377	The employees of the company undergo various training programs throughout the year, covering a range of topics including Code of Conduct, Policy on Sexual Harassment (POSH), ongoing training on current good manufacturing practices (cGMP), good manufacturing practices (GMP), safety in the pharmaceutical industry, first aid, fire safety, emergency preparedness, and physical well-being.	100%
Workers	275	The company provides various trainings throughout the year for its workers. These trainings include Policy on Sexual Harassment (POSH), skill upgradation, Health & Safety, and Emergency preparedness, which are conducted based on a yearly training schedule.	100%

2. Details of fines / penalties /punishment/ award/ compounding fees/ settlement amount paid in proceedings (by the entity or by directors / KMPs) with regulators/ law enforcement agencies/ judicial institutions, in the financial year, in the following format (Note: the entity shall make disclosures on the basis of materiality as specified in Regulation 30 of SEBI (Listing Obligations and Disclosure Obligations) Regulations, 2015 and as disclosed on the entity's website):

	Monetary				
	NGRBC Principle	Name of the regulatory/ enforcement agencies/ judicial institutions	Amount (In INR)	Brief of the Case	Has an appeal been preferred? (Yes/No)
Penalty/ Fine	NA	NA	NA	NA	NA
Settlement	NA	NA	NA	NA	NA
Compounding fee	NA	NA	NA	NA	NA

	Monetary			
	NGRBC Principle	Name of the regulatory/ enforcement agencies/ judicial institutions	Brief of the Case	Has an appeal been preferred? (Yes/No)
Imprisonment	-	NA	NA	
Punishment	-	NA	NA	

* In the previous report the non-monetary data were not available

3. Of the instances disclosed in Question 2 above, details of the Appeal/ Revision preferred in cases where monetary or non-monetary action has been appealed.

Case Details	Name of the regulatory/ enforcement agencies/ judicial institutions
NA	NA

4. Does the entity have an anti-corruption or anti-bribery policy? If yes, provide details in brief and if available, provide a web-link to the policy.

-Yes.

NATCO Pharma Limited upholds ethics, integrity, and transparency while ensuring full compliance with all applicable laws, rules, and regulations. This policy provides clear guidance for identifying and addressing ethical concerns, establishes mechanisms for reporting misconduct, and promotes a culture of honesty and accountability. It applies to all employees, contractors, suppliers, and business partners. The policy strictly prohibits bribery, corruption, inappropriate gifts, manipulation, and concealment. Employees are encouraged to promptly report any suspected violations to their supervisor or the Compliance Officer. In addition, a comprehensive whistleblower framework supports this policy, enabling the safe and confidential reporting of unethical practices, suspected fraud, or breaches of the Anti-Corruption and Anti-Bribery policy.

Web-link of policy: [Anti-Corruption/Anti-Bribery Policy](#)

5. Number of Directors/KMPs/employees/workers against whom disciplinary action was taken by any law enforcement agency for the charges of bribery/ corruption:

	FY 2024-25 (Current Financial Year)	FY 2023-24 (Previous Financial Year)
Directors	0	0
KMPs	0	0
Employees	0	0
Workers	0	0

6. Details of complaints with regard to conflict of interest:

	FY 2024-25 (Current Financial Year)		FY 2023-24 (Previous Financial Year)	
	Number	Remarks	Number	Remarks
Number of complaints received in relation to issues of Conflict of Interest of the Directors	0	-	0	-
Number of complaints received in relation to issues of Conflict of Interest of the KMPs	0	-	0	-

7. Provide details of any corrective action taken or underway on issues related to fines / penalties / action taken by regulators/ law enforcement agencies/ judicial institutions, on cases of corruption and conflicts of interest.

Not Applicable

8. Number of days of accounts payables (Accounts payable* 365) / Cost of goods/services procured) in the following format:

	FY 2024-25	FY 2023-24
Number of days of accounts payables	120	121

9. Open-ness of business Provide details of concentration of purchases and sales with trading houses, dealers, and related parties along-with loans and advances & investments, with related parties, In the following format:

Parameter	Metrics	FY2024-25	FY 2023-24
Concentration of Purchases	a. Purchases from trading houses as % of total purchases	7.01%	8.07%
	b. Number of trading houses where purchases are made from	80	128
	c. Purchases from Top 10 trading houses as % of total purchases from trading houses	70.41	39.18%
Concentration of Sales	a. Sales to dealer/ distributors as % of total sales	9.42%	14%
	b. Number of dealers / distributors to whom sales are made	3067	2,507
	c. Sales to top 10 dealer/ distributors as % of total sales to dealer/ distributors	22.06%	18%
Share of RPTs in	a. Purchases (Purchases with related parties /Total Purchases)	0	0%
	b. Sales (Sales to related parties / Total Sales)	3.26%	3%
	c. Loans & advances (Loans & advances given to related parties/ Total loans & advances)	0.42%	0.32%
	d. Investments (Investments in related parties/Total Investments made)	57%	65%

Note: Data reconsidered from last year

Leadership Indicators

1. Awareness programmes conducted for value chain partners on any of the Principles during the financial year:

Total number of awareness programmes held	Topics/principles covered under the training	%age of value chain partners covered (by value of business done with such partners) under the awareness programmes
1	Sustainability Journey on EHS policies	2.65%

2. Does the entity have processes in place to avoid/ manage conflict of interests involving members of the Board? (Yes/No) If Yes, provide details of the same

-Yes, the Company has 'Code of Conduct for Board Members, Senior Management Personnel and Employees', 'Related Party Transaction Policy' and 'Nomination and Remuneration Policy' in place.

The 'Code of Conduct for Board Members, Senior Management Personnel and Employees' policy helps manage or avoid conflicts of interest involving members of the Board by requiring them to be scrupulous in avoiding 'conflicts of interest' with the Company and in cases where there is likely to be a conflict of interest, he/she should make full disclosure of all facts and circumstances thereof to the Board of Directors or any Committee / Officer nominated for this purpose by the Board and a prior written approval should be obtained.

The company also follows a 'Related Party Transaction Policy' that applies to both board members and key managerial personnel (KMPs). Under this policy, any transaction involving related parties must receive approval from the Audit Committee and the Board of Directors. To ensure transparency and fairness, any director or KMP with a vested interest is required to step aside from discussions during the decision-making process.

Moreover, the Nomination and Remuneration Policy of Natco Pharma helps manage or avoid conflicts of interest involving Board members by formulating clear criteria for identifying persons qualified to become Directors, Key Managerial Personnel, and Senior Management, and ensuring that all remuneration is recommended by the independent Nomination and Remuneration Committee and approved by the Board. Additionally, the policy prohibits Independent Directors from being associated with the company in any other capacity during the cooling-off period between terms, thereby reinforcing objectivity and independence.

2

PRINCIPLE

Businesses should provide goods and services in a manner that is sustainable and safe



At NATCO Pharma, we are committed to delivering high-quality, affordable medicines while ensuring that our operations are safe, ethical, and environmentally responsible. Our products are developed and manufactured in accordance with stringent quality and safety standards, with a focus on minimizing our impact on health, society, and the environment.

We follow a responsible sourcing approach by engaging suppliers who align with our sustainability criteria. In addition, we continuously enhance our waste management practices, ensuring the safe handling of hazardous materials, recycling plastic waste through authorized agencies, and active efforts to reduce landfill dependency through innovative waste minimization strategies.

Our Environment, Health, and Safety (EHS) systems are well-established across all sites, supported by regular audits, employee training, and emergency preparedness. Furthermore, we initiated Life Cycle Assessments (LCA) to evaluate and enhance the environmental performance of our key products in a phased manner throughout their life cycle.

1. **Percentage of R&D and capital expenditure (capex) investments in specific technologies to improve the environmental and social impacts of product and processes to total R&D and capex investments made by the entity, respectively.**

	Current Financial Year	Previous Financial Year	Detailsof improvements in environmental and social impacts
R&D	9.12%	-	Our R&D efforts are dedicated to enhancing the environmental and safety aspects of our processes, aiming for a comprehensive positive impact. By leveraging technology and adopting a forward-thinking approach, we are able to develop and introduce complex, niche molecules through non-infringing methods.
Capex	0.29 % (Rs.12,35,55,540)	1.14%	These projects pertain to improving environment footprint through energy conservation, water conservation, reducing resource waste.

2. **a. Does the entity have procedures in place for sustainable sourcing? (Yes/No)**

Yes. Our Sustainable Procurement Policy defines clear expectations for suppliers across four key areas: business integrity, environmental responsibility, labor practices, and legal compliance. Applicable to all suppliers, the policy establishes a code of conduct that emphasizes employee health, safety, and well-being, embeds sustainability principles, and promotes efficient resource utilization. It requires critical suppliers to adhere to environmental laws, regulations, and industry standards, including proper hazardous waste management and compliance with emission limits, while ensuring transparency in the origin and sourcing of materials. Suppliers are also encouraged to promptly report any breaches of the Company's Code of Conduct and to implement appropriate corrective actions.

Web-link for policy: [Sustainable Procurement Policy](#)

- b. If yes, what percentage of inputs were sourced sustainably?**

The percentage of inputs sourced sustainably has not been formally quantified yet. While the company collects preliminary ESG-related information from suppliers under its Sustainable Procurement Policy, it is in the process of establishing a formal mechanism to verify these claims and calculate the proportion of sustainably sourced inputs.

3. **Describe the processes in place to safely reclaim your products for reusing, recycling and disposing at the end of life, for (a) Plastics (including packaging) (b) E-waste (c) Hazardous waste and (d) other waste.**

We follow an eco-friendly approach to waste management by following well-defined Standard Operating Procedures (SOPs) for the collection, storage, and disposal of waste. The company works with authorized agencies, in compliance with CPCB/SPCB guidelines, to ensure proper recycling, reuse, and environmentally safe disposal.

- Plastics (including packaging): The company fulfills 100% of its Extended Producer Responsibility (EPR) obligation for post-consumer plastic packaging waste through authorized third-party agencies, in accordance with CPCB/SPCB guidelines. This includes recycling, co-processing, and environmentally sound disposal, equivalent to the total quantity of packaging introduced in the market.
- E-waste: E-waste generated is handed over to authorized e-waste recyclers by collection centers, or authorized dismantlers for recycling, as per the E-waste management rules 2022.
- Hazardous waste: Hazardous waste generated is sent to authorized cement industries, pre-processing facilities, or TSDF (Treatment Storage Disposal Facility) for safe disposal.
- Other waste: Sent to pre-processing facilities or recyclers for further processing and recycling.

4. **Whether Extended Producer Responsibility (EPR) is applicable to the entity's activities (Yes / No). If yes, whether the waste collection plan is in line with the Extended Producer Responsibility (EPR) plan submitted to Pollution Control Boards? If not, provide steps taken to address the same.**

Yes,

Extended Producer Responsibility (EPR) is applicable to our organization's activities. We are registered as a Brand Owner under the Plastic Waste Management Rules and have submitted an EPR Action Plan in line with CPCB guidelines. The EPR targets are fulfilled through authorized third-party waste management agencies, and during the reporting year 189 tons of post-consumer plastic packaging waste was managed through recycling, co-processing or other environmentally sound disposal methods in accordance with the approved plan submitted to the Pollution Control Boards.

Leadership Indicators

1. **Has the entity conducted Life Cycle Perspective / Assessments (LCA) for any of its products (for manufacturing industry) or for its services (for service industry)? If yes, provide details in the following format?**

NIC Code	Name of Product /Service	% of total Turnover contributed	Boundary for which the Life Cycle Perspective / Assessment was conducted	Whether conducted by independent external agency (Yes/No)	Results communicated in public domain (Yes/No) If yes, provide the web-link.
210	Apixaban	0.46%	Cradle to Gate	Yes	No

2. **If there are any significant social or environmental concerns and/or risks arising from production or disposal of your products / services, as identified in the Life Cycle Perspective / Assessments (LCA) or through any other means, briefly describe the same along-with action taken to mitigate the same.**

Name of Product / Service	Description of the risk / concern	Action Taken
Apixaban	No significant environmental risks or concerns were identified through the LCA for the Apixaban product. However, as part of our proactive sustainability approach, preventive measures have been implemented to further reduce potential environmental impacts and enhance process efficiency.	To reduce the environmental impact associated with the Apixaban product, the following key actions have been implemented: 1. Process Innovation through R&D Our R&D team has successfully developed an alternative synthetic route for key intermediate stages of the Apixaban production process. A comprehensive Life Cycle Assessment (LCA) was conducted on the revised process, which demonstrated a potential reduction in overall environmental impacts by approximately 50% compared to the existing route. We are also actively working on increasing the proportion of renewable energy in our overall energy mix.

3. **Percentage of recycled or reused input material to total material (by value) used in production (for manufacturing industry) or providing services (for service industry).**

Indicate input material	Recycled or re-used input material to total material	
	FY 2024-25	FY 2023-24
	Current Financial Year	Previous Financial Year

Not Applicable. Due to the sensitive nature of pharmaceutical products and strict regulatory guidelines, the use of recycled or reclaimed input materials in the manufacturing process is prohibited to avoid any risk of contamination.

4. Of the products and packaging reclaimed at end of life of products, amount (in metric tonnes) reused, recycled, and safely disposed, as per the following format:

	FY 2024-25			FY 2023-24		
	Re-Used	Recycled	Safely Disposed	Re-Used	Recycled	Safely Disposed
Plastics (including packaging)	0	75	114	0	123	19
E-waste	0	0	0	0	0	0
Hazardous waste	0	0	0	0	0	0
Other waste	0	0	0	0	0	0

5. Reclaimed products and their packaging materials (as percentage of products sold) for each product category.

Indicate product category	Reclaimed products and their packaging materials as % of total products sold in respective category
Plastic Packaging in sold Product	The company fulfills 100% of its Extended Producer Responsibility (EPR) obligation for post-consumer plastic packaging waste through authorized agencies, in accordance with CPCB/SPCB guidelines. This includes recycling, co-processing, and environmentally sound disposal, equivalent to the total quantity of packaging introduced into the market.

3

PRINCIPLE

Businesses should respect and promote the well-being of all employees, including those in their value chains



At NATCO Pharma, we deeply value the well-being, safety, and growth of every employee and worker who is part of our journey. We nurture their health and happiness through health and life insurance, regular medical check-ups, and maternity benefits. We listen carefully to our people through a fair and confidential grievance redressal process, ensuring their voices are heard and respected. We have established strong Environment, Health, and Safety (EHS) practices across all sites, supported by regular audits, comprehensive safety training, and thorough emergency preparedness measures to maintain safe and secure workplaces. Furthermore, through the implementation of a sustainable procurement policy, we encourage responsible sourcing practices.



Essential Indicators

1. a. Details of measures for the well-being of employees:

Category	% of employees covered by										
	Total (A)	Health insurance ¹		Accident insurance		Maternity benefits ²		Paternity Benefits ³		Day Care facilities ⁴	
		Number (B)	% (B / A)	Number (C)	% (C / A)	Number (D)	% (D / A)	Number (E)	% (E / A)	Number (F)	% (F / A)
Permanent employees											
Male	3415	3090	90.48%	3415	100%	0	0	0	0	0	0
Female	364	305	83.79%	364	100%	364	100%	0	0	0	0
Total	3779	3395	89.84%	3779	100%	364	100%	0	0	0	0

Category	% of employees covered by										
	Total (A)	Health insurance ¹		Accident insurance		Maternity benefits ²		Paternity Benefits ³		Day Care facilities ⁴	
		Number (B)	% (B / A)	Number (C)	% (C / A)	Number (D)	% (D / A)	Number (E)	% (E / A)	Number (F)	% (F / A)
Other than Permanent employees											
Male	228	113	49.56%	228	100%	0	0	0	0	0	0
Female	66	13	19.70%	66	100%	66	100%	0	0	0	0
Total	294	126	42.86%	294	100%	66	100%	0	0	0	0

b. Details of measures for the well-being of workers:

Category	% of workers covered by										
	Total (A)	Health insurance ¹		Accident insurance		Maternity benefits ²		Paternity Benefits ³		Day Care facilities ⁴	
		Number (B)	% (B / A)	Number (C)	% (C / A)	Number (D)	% (D / A)	Number (E)	% (E / A)	Number (F)	% (F / A)
Permanent workers											
Male	380	373	98.16%	380	100%	0	0%	0	0%	0	0%
Female	40	39	97.50%	40	100%	40	100%	0	0%	0	0%
Total	420	412	98.10%	420	100%	40	100%	0	0%	0	0%
Other than Permanent workers											
Male	387	64	16.54%	387	100%	0	0%	0	0%	0	0%
Female	75	0	0 %	75	100%	0	0%	0	0%	0	0%
Total	462	64	13.85%	462	100%	0	0%	0	0%	0	0%

c. Spending on measures towards well-being of employees and workers (including permanent and other than permanent) in the following format –

	FY 2024-25 Current Financial Year	FY 2023-24 Previous Financial Year
Cost incurred on well- being measures as a % of total revenue of the company	0.43% (20.85 Crores)	0.5% (19 Crores)

Note:

¹ All employees and workers of Natco Pharma are eligible for health insurance coverage, although a certain segment has chosen not to avail themselves of this benefit.

² Maternity benefits for eligible employees were given as per the statutory requirements.

³ Employees are provided with Paternity Benefits on a case to case and need basis.

⁴ Day care (Creche) facilities are available at the formulation's facilities (Kothur & Nagarjuna Sagar), Vizag and R&D Center but have not been utilized.

2. Details of retirement benefits, for Current FY and Previous Financial Year.

Benefits	FY 2024-25			FY 2023-24		
	No. of employees covered as a % of total employees	No. of workers covered as a % of total workers	Deducted and deposited with the authority (Y/N/N.A.)	No. of employees covered as a % of total employees	No. of workers covered as a % of total workers	Deducted and deposited with the authority (Y/N/N.A.)
PF	100%	100%	Yes	100%	100%	Yes
Gratuity	100%	100%	Yes	100%	100%	Yes
ESI	5.87%	44.56%	Yes	8%	50%	Yes
Others – please specify	-	-	-	-	-	-

3. Accessibility of workplaces

Are the premises / offices of the entity accessible to differently abled employees and workers, as per the requirements of the Rights of Persons with Disabilities Act, 2016? If not, whether any steps are being taken by the entity in this regard.

Yes.

Premises/offices have ramps for easy movement of differently abled people and wheelchair- accessible restrooms are available.

4. Does the entity have an equal opportunity policy as per the Rights of Persons with Disabilities Act, 2016? If so, provide a web-link to the policy.

Yes, we have implemented an Equal Opportunity Policy which ensures non-discrimination in recruitment, employment, and training for persons with disabilities. It also outlines provisions for reasonable facilities, accessible infrastructure, and grievance redressal mechanisms to promote an inclusive workplace culture. The policy is periodically reviewed to ensure alignment with evolving legal and social standards.

Web-link Policy: [Equal Opportunity policy](#)

5. Return to work and Retention rates of permanent employees and workers that took parental leave.

Gender	Permanent employees		Permanent workers	
	Return to work rate	Retention rate	Return to work rate	Retention rate
Male	Not Applicable	Not Applicable	Not Applicable	
Female	50	100		
Total	50	100		

6. Is there a mechanism available to receive and redress grievances for the following categories of employees and worker? If yes, give details of the mechanism in brief.

	Yes/No (If Yes, then give details of the mechanism in brief)
Permanent Workers	Yes.
Other than Permanent Workers	The company has a formal grievance redressal mechanism in place for all categories of employees and workers, including permanent, contractual, and trainees.
Permanent Employees	Company believes that internal stakeholders should have the opportunity to raise and achieve resolution by following a fair and prompt grievance process, without fear of repression. The Company believes in non-repression measures against employees for raising concerns in good faith or those who assist in an investigation of suspected wrongdoing. The Company resolves all the internal stakeholders grievances as per the applicable statutory norms. Internal stakeholders can submit their complaints / grievance to the Grievance Officer.
Other than Permanent Employees	

7. Membership of employees and worker in association(s) or Unions recognized by the listed entity:

Category	FY 2024-25 (Current Financial Year)			FY 2023-24 (Previous Financial Year)		
	Total employees / workers in respective category (A)	No. of employees / workers in respective category, who are part of association(s) or Union (B)	% (B / A)	Total employees / workers in respective category (C)	No. of employees / workers in respective category, who are part of association(s) or Union (D)	% (D / C)
Total Permanent Employees						
Male	3415	0	0%	3188	0	0%
Female	364	0	0%	305	0	0%
Total	3779	0	0%	3493	0	0%
Total Permanent Workers						
Male	380	329	86.58%	473	323	68.3%
Female	40	39	97.5%	50	39	78.0%
Total	420	368	87.62%	523	362	69.22%

8. Details of training given to employees and workers:

Category	FY 2024-25 Current Financial Year					FY 2023-24 Previous Financial Year				
	Total (A)	On Health and safety measures		On Skill upgradation		Total (D)	On Health and safety measures		On Skill upgradation	
		No. (B)	% (B / A)	No. (C)	% (C / A)		No. (E)	% (E / D)	No. (F)	% (F / D)
Employees										
Male	3643	3643	100%	3074	84.38%	3372	2047	60.7%	1489	44.2%
Female	430	430	100%	430	100%	390	295	75.6%	195	50%
Total	4073	4073	100%	3504	86.02%	3762	2342	62.3%	1684	44.8%
Workers										
Male	767	767	100%	748	97.5%	873	870	99.7%	852	98%
Female	115	115	100%	96	83.48%	127	105	83%	112	88%
Total	882	882	100%	842	95.46%	1000	975	98%	964	96%

9. Details of performance and career development reviews of employees and worker:

Category	FY 2024-25 Current Financial Year			FY 2023-24 Previous Financial Year		
	Total (A)	No. (B)	% (B / A)	Total (C)	No. (D)	% (D / C)
Employees						
Male	3643	2552	70%	3372	2395	71%
Female	430	281	65%	390	222	56.9%
Total	4073	2893	71%*	3762	2617	69.9%
Workers**						
Male	-	-	-	-	-	-
Female	-	-	-	-	-	-
Total	-	-	-	-	-	-

* Performance and career development reviews exclude trainees is 100%

** For workers it is via wage agreement

Note: Performance and career development reviews have not been carried out for workers.

10. Health and safety management system:

a. Whether an occupational health and safety management system has been implemented by the entity? (Yes/ No). If yes, the coverage such system?

Yes, NATCO Pharma has implemented a robust Occupational Health and Safety (OHS) Management System across all its operational sites. This system is governed by a comprehensive Environment, Health, and Safety (EHS) policy and is integrated into the company's core operations. We ensure that adequate resources are allocated to implement EHS programs aligned with regulatory requirements and business objectives. EHS goals are embedded into business planning, governance, and performance evaluation processes to reinforce a culture of safety. Regular safety trainings, mock drills, awareness campaigns, and inspections are conducted across sites. The company continuously monitors safety performance, conducts root cause analysis of incidents, and takes preventive and corrective actions to avoid recurrence. Most of our manufacturing facilities, including the NATCO Research Centre (NRC), are certified under ISO 14001:2015 and ISO 45001:2018. Certification for the Crop Health Sciences unit is currently in progress.

b. What are the processes used to identify work-related hazards and assess risks on a routine and non-routine basis by the entity?

The entity employs a comprehensive approach to identify work-related hazards and assess risks on both routine and non-routine bases. Key processes include HAZOP (Hazard and Operability Study) for systematic examination of complex processes to identify potential hazards, and HIRA (Hazard Identification and Risk Assessment) for evaluating the level of risk associated with various tasks. In addition, the organization has established detailed Standard Operating Procedures (SOPs) for all critical operations to ensure consistent safety practices. A robust Work Permit System is also in place to control high-risk and non-routine activities such as confined space entry, hot work, and working at heights, ensuring all necessary precautions are taken before commencing such tasks. These processes are supported by regular audits, inspections, and employee training programs to continuously improve workplace safety.

c. Whether you have processes for workers to report the work-related hazards and to remove themselves from such risks. (Y/N)

Yes, we encourage a safety-oriented mindset among workers as a vital part of our occupational health and safety system, with a strong commitment to the goal of 'Zero Injury.' Workers are regularly engaged through structured training programs, toolbox talks, and safety briefings to build awareness, reinforce safe practices, and ensure clarity on safety procedures.

A comprehensive guidance document is in place to help identify, evaluate, and mitigate Safety, Health, and Environment (SH&E) risks. It provides clear instructions on risk assessment methods and outlines the roles and responsibilities of workers and supervisors in managing safety for all site activities. Workers are empowered to report any unsafe act, condition, or near-miss, and they have the right to step away from tasks they believe pose a serious risk to their safety or health.

d. Do the employees/ worker of the entity have access to non-occupational medical and healthcare services? (Yes/ No)

Yes, each operational site is equipped with a fully functional Occupational Health Centre, supported by qualified doctors and nurses to monitor and support the overall well-being of our workforce. In addition, we provide comprehensive health insurance coverage through our Group Medical Insurance policy and the Employee State Insurance Scheme (ESIC), ensuring access to a wide range of medical and healthcare services beyond occupational needs.

11. Details of safety related incidents, in the following format:

Safety Incident/Number	Category*	FY 2024-25 Current Financial Year	FY 2023-24 Previous Financial Year
Lost Time Injury Frequency Rate (LTIFR) (per one million-person hours worked)	Employees	0	0
	Workers	0.073	0
Total recordable work-related injuries	Employees	2	0
	Workers	2	0
No. of fatalities	Employees	0	0
	Workers	0	0

Safety Incident/Number	Category*	FY 2024-25 Current Financial Year	FY 2023-24 Previous Financial Year
High consequence work-related injury or ill-health (excluding fatalities)	Employees	0	0
	Workers	0	0

*Including in the contract workforce

12. Describe the measures taken by the entity to ensure a safe and healthy work place.

We follow a comprehensive Occupational Health and Safety Management System aligned with ISO 45001 standards. Hazard Identification and Risk Assessment (HIRA) exercises are conducted regularly to identify potential workplace hazards and implement appropriate control measures. A strict Permit-to-Work (PTW) system is in place to manage all high-risk operational and maintenance activities. Personal Protective Equipment (PPE) is provided and mandated for employees and workers based on the risk profile of their tasks.

At our manufacturing units, we deploy scrubber systems and other emission control technologies to minimize exposure to volatile organic compounds (VOCs), dust, and odours. To ensure fire safety, we maintain well-functioning fire detection and alarm systems, equip our facilities with fire extinguishers, and conduct regular fire drills to enhance emergency preparedness. Regular safety surveillance, inspections, and internal audits are carried out to maintain compliance and identify opportunities for improvement. We conduct exposure assessments and Leak Detection and Repair (LDAR) studies to monitor environmental and occupational health risks.

We provide regular health and safety training to all employees and workers and conduct emergency preparedness drills for scenarios such as chemical spills and fire incidents. Periodic medical check-ups are conducted by independent agencies, with specialized tests for employees exposed to chemicals or dust. We operate a fully equipped Occupational Health Centre (OHC) with the availability of a qualified doctor and nurse to provide immediate healthcare support on-site.

13. Number of Complaints on the following made by employees and workers:

	FY 2024-25 (Current Financial Year)			FY 2023-24 (Previous Financial Year)		
	Filed during the year	Pending resolution at the end of year	Remarks	Filed during the year	Pending resolution at the end of year	Remarks
Working Conditions	5	0	NIL	14	0	-
Health & Safety	24	0	NIL	59	0	-

14. Assessments for the year:

	% of your plants and offices that were assessed (by entity or statutory authorities or third parties)
Health and safety practices	100%
Working Conditions	100%

15. Provide details of any corrective action taken or underway to address safety-related incidents (if any) and on significant risks / concerns arising from assessments of health & safety practices and working conditions.

At NATCO, we are deeply committed to ensuring a safe and healthy work environment across all our operations. Regular internal audits are conducted to evaluate safety parameters, and necessary corrective actions are taken based on the audit findings. To strengthen fire safety measures, auto modular type fire extinguishing systems have been installed in critical areas, enabling prompt response in case of emergencies.

We have undertaken a thorough assessment of solids charging operations, leading to the implementation of reverse charging systems where applicable. Additionally, solids charging hoppers have been equipped with double flap valve arrangements to enhance operational safety and minimize exposure risks.

To further reinforce process safety, HAZOP (Hazard and Operability) studies have been conducted to proactively identify and mitigate potential hazards. Our workforce receives regular training on behaviour-based safety, first aid, and emergency response, delivered through certified external agencies. Fire drills are also conducted periodically to ensure preparedness. Environment, Health, and Safety (EHS) campaigns are carried out at our facilities to raise awareness and promote a culture of safety.

Leadership Indicators

1. Does the entity extend any life insurance or any compensatory package in the event of death of (A) Employees (Y/N) (B) Workers (Y/N).

(A) Employees (Y/N): Yes, the company's Group Term Insurance Policy offers financial protection in the event of death, permanent disability, or partial disablement. Additionally, employees are enrolled in a Company-sponsored Healthcare Plan, ensuring access to a wide range of medical services and hospitalization support. These benefits reflect Natco's commitment to ensuring the health, safety, and financial security of its employees.

(B) Workers (Y/N): All workers are covered under the company's Group Term Insurance Policy, providing financial protection in the event of death, permanent disability, or partial disablement. In accordance with statutory provisions, workers are also enrolled under the Employee's State Insurance Corporation (ESIC) scheme. In addition to ESIC, some workers are also covered under the company-sponsored healthcare insurance plan, which provides comprehensive medical and hospitalization benefits.

2. Provide the measures undertaken by the entity to ensure that statutory dues have been deducted and deposited by the value chain partners.

The Company is committed to maintaining ethical conduct and integrity-driven practices in its value chain to the extent it relates to its operations. To ensure this, robust mechanisms are in place to verify that value chain partners comply with fair business practices and statutory requirements. These steps reinforce the Company's dedication to responsible and legally compliant operations.

	Total no. of affected employees/ workers		No. of employees/workers that are rehabilitated and placed in suitable employment or whose family members have been placed in suitable employment	
	FY 2024-25 (Current Financial Year)	FY 2023-24 (Previous Financial Year)	FY 2024-25 (Current Financial Year)	FY 2023-24 (Previous Financial Year)
Employees	0	0	0	0
Workers	1	0	0	0

3. Does the entity provide transition assistance programs to facilitate continued employability and the management of career endings resulting from retirement or termination of employment? (Yes/ No)

No

4. Details on assessment of value chain partners:

	% of value chain partners (by value of business done with such partners) that were assessed
Health and safety practices	0
Working Conditions	0

5. Provide details of any corrective actions taken or underway to address significant risks / concerns arising from assessments of health and safety practices and working conditions of value chain partners.

Not Applicable

4**PRINCIPLE****Businesses should respect the interests of and be responsive to all its stakeholders**

At NATCO Pharma, we recognize that our success is deeply connected to the trust and well-being of the people and communities we serve. We are committed to listening to our stakeholders, including employees, customers, communities, investors, suppliers, and more, and responding to their needs with care and responsibility. Regular and structured stakeholder engagement enable us to understand their expectations and integrate them into our decision-making processes.

**Essential Indicators****1. Describe the processes for identifying key stakeholder groups of the entity.**

The entity identifies its key stakeholder groups through a structured stakeholder mapping process based on the level of relevance to its operations and value chain. This identification is also guided by a materiality assessment, which helps prioritize the Environmental, Social, and Governance (ESG) topics most significant to both the business and its stakeholders.

We engage with stakeholders using a variety of channels such as meetings, workshops, surveys, intranet portals, and social media to facilitate effective two-way communication. These channels help us stay informed of stakeholder expectations, gather feedback, and incorporate their inputs into our decision-making processes.

We have also established formal feedback mechanisms to capture concerns and suggestions from stakeholders. Our focus remains on ensuring transparency and building trust-based relationships. Further, we regularly monitor and evaluate the effectiveness of our stakeholder engagement activities to identify areas for improvement and drive meaningful impact.

2. List stakeholder groups identified as key for your entity and the frequency of engagement with each stakeholder group.

Sr. no.	Stakeholder Group	Whether identified as Vulnerable & Marginalized Group (Yes/ No)	Channels of communication (Email, SMS, Newspaper, Pamphlets, Advertisement, Community Meetings, Notice Board, Website), Other	Frequency of engagement (Annually/ Half yearly/ Quarterly / others – please specify)	Purpose and scope of engagement including key topics and concerns raised during such engagement
1.	Investors and shareholders	No	- Annual General Meeting - Annual report - Investor presentations - Quarterly investor calls - Investor /analyst meet - Company website - Email - Announcements	As mandated or required	Financial performance and Business sustainability
2.	Regulators/ Government	No	Mandatory submissions - Meetings and interactions - Audits	As mandated or required	Permits and mandatory submissions
3.	Suppliers/Vendors	No	Regular interaction through phone, e-mail, letters and in person - Supplier audits - Exhibitions and conferences	Need Basis	Contracts and audits
4.	Employees and workers	No	- Leadership message and company activities via Intranet portal - Learning and Development programs - Functional and cross functional committees - Personal interaction - Performance management system - Important events such as world environment day, safety week, National Women's Day, etc. - Cultural and other events - Safety meetings	Need Basis	Policies, benefits and training
5.	Patients	No	Continuing Medical Education	Need basis	Educating the patients

Sr. no.	Stakeholder Group	Whether identified as Vulnerable & Marginalized Group (Yes/ No)	Channels of communication (Email, SMS, Newspaper, Pamphlets, Advertisement, Community Meetings, Notice Board, Website), Other	Frequency of engagement (Annually/ Half yearly/ Quarterly / others – please specify)	Purpose and scope of engagement including key topics and concerns raised during such engagement
6.	Farmers	No	- Field meetings - Media advertisements - Product demonstrations - Social media	Need Basis	Briefing the farmers about the products and marketing activities
7.	Local Communities	No	Community Meetings	Need Basis	Understanding the wellbeing of the people and working to improve their lives and livelihoods
8.	Doctors	No	Doctor visits/product information/scientific updates - Academic meetings - Patient education through clinicians - Public awareness through clinicians - Website	Need Basis	Brief them about newer therapies
9.	Dealers and Distributors	No	- Email - Meetings - Letters - Telephone	Need Basis	Updating about products
10.	Trade unions	No	Meetings and interactions	Need Basis	Updating new policies, regulations, benefits or addressing grievances.
11.	Media	No	Press releases	Need Basis	Dissemination of information



Leadership Indicators

1. Provide the processes for consultation between stakeholders and the Board on economic, environmental, and social topics or if consultation is delegated, how is feedback from such consultations provided to the Board.

Consultation with stakeholders is primarily conducted through delegated functional teams across various departments. These teams are responsible for engaging directly with specific stakeholder groups such as investors, regulators, suppliers, employees, patients, farmers, doctors, trade unions, and local communities through mechanisms tailored to each group (e.g., meetings, surveys, email interactions, audits, and community initiatives). Each functional team monitors and captures feedback, concerns, and expectations from stakeholders that relate to NATCO's economic performance, environmental impacts, and social responsibility. Feedback gathered during stakeholder engagements is analysed and acted upon. When issues with strategic, reputational, regulatory, or sustainability implications are identified, they are appraised to senior management. This structured process ensures that stakeholder perspectives are effectively integrated into the company's strategic and operational responses.

2. Whether stakeholder consultation is used to support the identification and management of environmental, and social topics (Yes / No). If so, provide details of instances as to how the inputs received from stakeholders on these topics were incorporated into policies and activities of the entity.

Yes, the Company has undertaken a materiality assessment to identify the Environmental, Social, and Governance (ESG) issues relevant to its operations. As part of this process, stakeholder consultation played a key role in shaping the assessment. Input was gathered through discussions with relevant stakeholders, alongside consideration of sustainability reporting frameworks, policies of the Board, and peer industry practices.

The feedback obtained from stakeholders helped the Company prioritize ESG topics that are significant to both the business and its stakeholders. These insights have been integrated into the Company's sustainability strategy, informing its goals, targets, and actions related to environmental and social performance. This approach ensures that stakeholder concerns are reflected in the Company's policies and ongoing sustainability initiatives.

3. Provide details of instances of engagement with, and actions taken to address the concerns of vulnerable/ marginalized stakeholder groups.

Through NATCO Trust, we actively engage with vulnerable and marginalized communities to identify their critical needs and subsequently implement targeted interventions to address them. These stakeholder engagements are carried out through regular field visits, community meetings, collaboration with local government bodies, and feedback mechanisms integrated into project implementation.

Some Instances of Engagement:

- Early Childhood Education – Anganwadi Centres
- Bala Vikasa Kendra (BVK)
- Post-School Tuitions for Government School Children
- Additional Full-Time Teaching Volunteers at Government Schools (multiple locations)
- NATCO Zilla Parishadh High School & Others

These initiatives are strategically designed to promote inclusive education, improve learning outcomes, and support the overall well-being of children and families in underserved and socio-economically backward areas that face developmental and resource access challenges.

5

PRINCIPLE

Businesses should respect and promote human rights



Essential Indicators



At NATCO Pharma, we uphold ethical business practices, ensuring fair treatment for employees, suppliers, and stakeholders. Our Code of Conduct integrates human rights, environmental responsibility, and labour law compliance, cultivating transparency and accountability. Additionally, our Whistleblower Policy protects against retaliation and harassment, promoting a safe and respectful environment.

1. Employees and workers who have been provided training on human rights issues and policy(ies) of the entity, in the following format:

Category	FY 2024-25			FY 2023-24		
	Total (A)	No. of employees/workers covered (B)	% (B/A)	Total (C)	No. of employees/workers covered (D)	% (D/C)
Employees						
Permanent	3779	3779	100%	3493	3493	100%
Other than permanent	294	294	100%	269	269	100%
Total Employees	4073	4073	100%	3762	3762	100%
Workers						
Permanent	420	420	100%	523	523	100%
Other than permanent	462	462	100%	477	477	100%
Total Workers	882	882	100%	1000	1000	100%

2. Details of minimum wages paid to employees and workers, in the following format:

Category	FY 2024-25					FY 2023-24				
	Total (A)	Equal to		More than		Total (D)	Equal to		More than	
		Minimum Wage		Minimum Wage			Minimum Wage		Minimum Wage	
		No. (B)	% (B/A)	No. (C)	% (C/A)		No. (E)	% (E/D)	No. (F)	% (F/D)
Employees										
Permanent	3779	0	0%	3779	100%	3493	0	0%	3493	100%
Male	3415	0	0%	3415	100%	3188	0	0%	3188	100%
Female	364	0	0%	364	100%	305	0	0%	305	100%
Other than Permanent	294	0	0%	294	100%	269	0	0%	269	100%
Male	228	0	0%	228	100%	184	0	0%	184	100%
Female	66	0	0%	66	100%	85	0	0%	85	100%
Workers										
Permanent	420	0	0%	420	100%	523	0	0%	523	100%
Male	380	0	0%	380	100%	473	0	0%	473	100%
Female	40	0	0%	40	100%	50	0	0%	50	100%
Other than Permanent	462	0	0%	462	100%	477	0	0%	477	100%
Male	387	0	0%	387	100%	400	0	0%	400	100%
Female	75	0	0%	75	100%	77	0	0%	77	100%

3. Details of remuneration/salary/wages

a. Median remuneration / wages:

	Male		Female	
	Number	Median remuneration/salary/wages of respective category	Number	Median remuneration/salary/wages of respective category
Board of Directors (BoD)	8	6,89,39,676	1	NIL
Key Managerial Personnel	2	81,73,991	-	-
Employees other than BoD and KMP	3543	7,01,124	422	4,58,256
Workers	474	7,04,034	48	6,23,220

Casuals (462) excluded from employees other than BOD & KMP

b. Gross wages paid to females as % of total wages paid by the entity, in the following format:

	FY 2024-25	FY 2023-24
Gross wages paid to females as % of total wages	7.36%	7.32%

4. Do you have a focal point (Individual/ Committee) responsible for addressing human rights impacts or issues caused or contributed to by the business?

Yes, we have a Committee responsible for addressing complaints related to human rights within our organization. By upholding human rights principles and cultivating a culture of accountability, transparency, and respect for human dignity, we strive to enhance the well-being and empowerment of individuals and communities.

5. Describe the internal mechanisms in place to redress grievances related to human rights issues.

Our company has established a Human Rights grievance resolution system for its employees. The company ensures that effective remediation procedures are available for individuals impacted by its operations, with a designated Grievance Redressal Officer responsible for addressing complaints.

Anyone who believes they have faced discrimination related to human rights principles is encouraged to report the matter to the Grievance Redressal Officer, HR Manager, or Management through email.

To effectively manage reports of human rights violations, NATCO Pharma has implemented a comprehensive grievance redressal system to address the concerns of all stakeholders. This mechanism is structured to track, evaluate, and respond to such issues in a timely manner, ensuring appropriate resolution for affected individuals. Anyone seeking to raise a human rights-related grievance can reach to the designated stakeholder grievance redressal officer in accordance with NATCO Pharma's stakeholder grievance redressal policy available on our website.

With reference to the grievances of the shareholders, the Company has appointed M/s. Venture Capital & Corporate Investments Pvt. Ltd. as its Registrar and Share Transfer Agent ("RTA") to ensure faster and efficient provision of services to the shareholders. The RTA is primarily responsible for handling shareholders related affairs of the Company which are specified in this policy.

6. Number of Complaints on the following made by employees and workers:

Category	FY 2024-25			FY 2023-24		
	Filed during the year	Pending resolution at the end of year	Remarks	Filed during the year	Pending resolution at the end of year	Remarks
Sexual Harassment	0	-	-	0	-	-
Discrimination at workplace	0	-	-	0	-	-
Child Labour	0	-	-	0	-	-
Forced Labour / Involuntary Labour	0	-	-	0	-	-
Wages	0	-	-	0	-	-
Other Human Rights	0	-	-	0	-	-

7. Complaints filed under the Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal) Act, 2013, in the following format:

	FY 2024-25	FY 2023-24
Total Complaints reported under Sexual Harassment on of Women at Workplace (Prevention, Prohibition and Redressal) Act, 2013 (POSH)	0	0
Complaints on POSH as a % of female employees/workers	0	0
Complaints on POSH upheld	0	0

8. Mechanisms to prevent adverse consequences to the complainant in discrimination and harassment cases.

NATCO Pharma grievance redressal framework that prohibits retaliation, ensures confidentiality, and promotes fair resolution of complaints. Through the Human Rights Policy, Whistle Blower Policy, and Grievance Redressal Policy, individuals are protected from oppression when reporting discrimination and harassment cases. Complaints can be submitted via multiple secure channels and a dedicated Grievance Committee monitors cases to ensure ethical, legal, and regulatory compliance.

9. Do human rights requirements form part of your business agreements and contracts?

Yes, Human rights requirements, including provisions on child labour, forced labour, and minimum wages, have been integrated into the company's business contracts and agreements, ensuring compliance with ethical and legal standards, wherever required.

10. Assessment of the year:

	% of your plants and offices that were assessed (by entity or statutory authorities or third parties)
Child labour	100%
Forced/involuntary labour	100%
Sexual harassment	100%
Discrimination at workplace	100%
Wages	100%
Others – please specify	100%

11. Provide details of any corrective actions taken or underway to address significant risks / concerns arising from the assessments at Question 10 above.

Our company remains committed to the implementation of its human rights policies, proactively spread awareness among employees to uphold ethical workplace standards. This ongoing engagement has ensured compliance, eliminating the need for corrective measures.

Leadership Indicators

1. Details of a business process being modified / introduced as a result of addressing human rights grievances/complaints.

No Complaints were received in the reporting year.

2. Details of the scope and coverage of any Human rights due-diligence conducted.

Natco Pharma has a dedicated Human Rights policy and complies fully with applicable industrial laws and regulations. We are committed to promoting a respectful workplace culture, ensuring fair employment practices, and safeguarding the health and safety of all employees.

3. Is the premise/office of the entity accessible to differently abled visitors, as per the requirements of the Rights of Persons with Disabilities Act, 2016?

The company's premises and offices are equipped with ramps to facilitate seamless mobility for individuals with disabilities. Additionally, wheelchair-accessible restrooms are available, ensuring inclusivity and convenience.

4. Details on assessment of value chain partners:

	% of value chain partners (by value of business done with such partners) that were assessed
Sexual Harassment	NATCO is strengthening its ethical oversight of value chain partners, ensuring compliance with labor standards. This includes preventing harassment, discrimination, child labor, and forced labor while promoting fair wages and safe working conditions. Transparent audits, due diligence, and grievance redressal systems enhance accountability, promoting a responsible and sustainable business ecosystem built on integrity.
Discrimination at workplace	
Child Labour	
Forced Labour/Involuntary Labour	
Wages	

5. Provide details of any corrective actions taken or underway to address significant risks / concerns arising from the assessments at Question 4 above.

Natco Pharma is establishing systems and protocols to evaluate its value chain partners' adherence to ethical workforce practices. The focus includes preventing workplace harassment, eliminating discrimination, eradicating child and forced labour, and ensuring equitable remuneration for all employee.

6

PRINCIPLE

Businesses should respect and make efforts to protect and restore the environment



At NATCO Pharma, we recognize that environmental responsibility, occupational health, and safety are fundamental to the long-term sustainability of our operations. We are dedicated to protecting natural ecosystems by actively minimizing our ecological footprint. Aware of the challenges posed by climate change, we are implementing strategic initiatives aimed at reducing environmental impact through enhanced energy efficiency, adoption of renewable resources, waste minimization, plastic recovery programs such as EPR, optimized water management, zero liquid discharge systems, and biodiversity conservation across all manufacturing units.

Our Environmental, Health, and Safety Division actively oversees the company's ecological impact, ensuring continuous assessment and compliance. We uphold globally recognized benchmarks, including ISO 14001 for environmental management, ISO 45001 for occupational health and safety, and workplace risk prevention, reinforcing our commitment to sustainable and responsible operations.



Essential Indicators

1. Details of total energy consumption (in Joules or multiples) and energy intensity, in the following format:

Parameter	FY 2024-25	FY 2023-24
From renewable sources		
Total electricity consumption (A)	72210.72	73016.12
Total fuel consumption (B)	8061.61	6066.06
Energy Consumption through other sources (C)	-	-
Total energy consumed from renewable sources (A+B+C)	80272.33	79082.18

Parameter	FY 2024-25	FY 2023-24
From non-renewable sources		
Total electricity consumption (D)	216051.26	209984.66
Total fuel consumption (E)	321934.46	245363.43
Energy Consumption through other sources (F)	-	-
Total energy consumed from non- renewable sources (D+E+F)	537985.72	455348.09
Total energy consumed (A+B+C+D+E+F)	618258.05	534430.28
Energy intensity per rupee of turnover**	15.099	14.975
(Total energy consumed / Revenue from operations), GJ/ ₹ Mn		
Energy intensity per rupee of turnover** adjusted for Purchasing Power Parity (PPP)	311.96	335.432
(Total energy consumed / Revenue from operations adjusted for PPP)*, GJ/ turnover adjusted to PPP		
Energy intensity in terms of physical output	-	-
Energy intensity (optional) – the relevant metric may be selected by the entity	-	-

*The revenue from operations has been adjusted for PPP based on the latest PPP conversion factor published for the year 2025 by IMF for India which is 20.66.

<https://www.imf.org/external/datamapper/PPPEX@WEO/OEMDC>

**Energy intensity for FY 2024–25 has been calculated based on Natco Pharma's total turnover, and is expressed in terms of energy consumed per million rupees of turnover.

Note: Indicate if any independent assessment/evaluation/assurance has been carried out by an external agency?

No independent assessment, evaluation, or assurance is conducted during the reporting year. However, in alignment with BRSR regulations, we plan to undertake such evaluations in the future.

2. **Does the entity have any sites / facilities identified as designated consumers (DCs) under the Performance, Achieve and Trade (PAT) Scheme of the Government of India? (Y/N) If yes, disclose whether targets set under the PAT scheme have been achieved. In case targets have not been achieved, provide the remedial action taken, if any.**

Not Applicable

3. **Provide details of the following disclosures related to water, in the following format:**

Parameter	FY 2024-25	FY 2023-24
Water withdrawal by source (in kilolitres)		
(i) Surface water	53910.73	67732
(ii) Groundwater	44544.59	45287
(iii) Third party water	230172.89	233657
(iv) Seawater / desalinated water	0	0
(v) Others	0	0
Total volume of water withdrawal (in kilolitres) (i + ii + iii + iv + v)	328628.21	346676
Total volume of water consumption (in kilolitres)	299375.89	325985
Water intensity per rupee of turnover**	7.311	9.134
(Total water consumption / Revenue from operations), kl/ ₹ Mn		
Water intensity per rupee of turnover** adjusted for Purchasing Power Parity (PPP) (Total water consumption / Revenue from operations adjusted for PPP)* kl/turnover adjusted to PPP	151.045	204.603

Parameter	FY 2024-25	FY 2023-24
Water intensity in terms of physical output	-	-
Water intensity (optional) – the relevant metric may be selected by the entity	-	-

*The revenue from operations has been adjusted for PPP based on the latest PPP conversion factor published for the year 2025 by IMF for India which is 20.66.

<https://www.imf.org/external/datamapper/PPPEX@WEO/OEMDC>

**Water consumption intensity for FY 2024–25 has been calculated based on Natco Pharma's total turnover, and is expressed in terms of water consumed per million rupees of turnover.

Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency?

No independent assessment, evaluation, or assurance is conducted during the reporting year. However, in line with BRSR requirements, we are committed to undertaking such evaluations in the future.

4. Provide the following details related to water discharged:

Parameter	FY 2024-25	FY 2023-24
Water discharge by destination and level of treatment (in kilolitres)		
(i) To Surface water		
- No treatment	0	0
- With treatment – please specify level of treatment	3579 KL *	8097 KL – sent to public sewer
(ii) To Groundwater		
- No treatment	0	0
- With treatment – please specify level of treatment	0	0
(iii) To Seawater		
- No treatment	0	0
- With treatment – please specify level of treatment	0	0
(iv) Sent to third-parties		
- No treatment		0
- With treatment – please specify level of treatment	17378 kl - after Primary Treatment 925 kl – after Secondary Treatment	12120 KL – after Primary Treatment, 474 KL – sent to CETP after primary and secondary treatment
(v) Others		
- No treatment	0	0
- With treatment – please specify level of treatment	0	0
Total water discharged (in kilolitres)	21882	20691

*Note: Water Consumed at HO + NRC-Domestic effluent are Considered as discharge to public sewers (2023-24: 8097KL & 2024-25: 1765KL from HO & 1814KL from NRC Domestic effluent)

Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency?

No. During the reporting year, no independent assessment, evaluation, or assurance is carried out. However, in accordance with BRSR guidelines, we intend to initiate such evaluations in the future.

5. Has the entity implemented a mechanism for Zero Liquid Discharge? If yes, provide details of its coverage and implementation.

Yes, we have implemented Zero Liquid Discharge (ZLD) systems at four of our manufacturing plants to ensure effective wastewater management and full environmental compliance. The ZLD approach is aimed for effective onsite treatment and reuse resulting into reduction of fresh water footprint. Also achieving zero discharge from the premises.

The plants with ZLD systems are located in Mekaguda (Telangana), Kothur (Telangana), Chennai (Tamil Nadu), and Attivaram Technical (Andhra Pradesh), with treated water 53562 kl, 62315 kl, 10829 kl and 841 kl, respectively. The treated water is fully reused for cooling towers, sanitation (toilets), and gardening, contributing to our water conservation and sustainability goals.

6. Please provide details of air emissions (other than GHG emissions) by the entity, in the following format.

Parameter	Please specify unit	FY 2024-25	FY 2023-24
NOx	tonnes	44.21	26.58
SOx	tonnes	45.55	33.25
Particulate matter (PM)	tonnes	26.52	9.32
Persistent organic pollutants (POP)	-	-	-
Volatile organic compounds (VOC)	ppm	0.02	0.01
Hazardous air pollutants (HAP)	-	-	-
Carbon Monoxide	tonnes	0.3	0.04
Others – please specify	-	-	-

Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency?

No independent assessment, evaluation, or assurance is carried out during the reporting year. However, in line with BRSR requirements, we will conduct such assessments in the future.

7. Provide details of greenhouse gas emissions (Scope 1 and Scope 2 emissions) & its intensity, in the following format:

Parameter	Unit	FY 2024-25		FY 2023-24	
Total Scope 1 emissions	Metric tonnes of	28494.95		28403.25	
(Break-up of the GHG into CO ₂ , CH ₄ , N ₂ O, HFCs, PCFs, SF ₆ , NF ₃ , if available)	CO ₂ equivalent	tCO₂:	23395.11	tCO₂:	20898.10
		CH₄ – tCO₂e:	130.78	CH₄ – tCO₂e:	43.56
		N₂O – tCO₂e:	65.48	N₂O – tCO₂e:	74.02
		HFCs – tCO₂e:	4903.61	HFCs – tCO₂e:	7387.57
Total Scope 2 emissions	Metric tonnes of	43630.35		41763.62	
(Break-up of the GHG into CO ₂ , CH ₄ , N ₂ O, HFCs, PCFs, SF ₆ , NF ₃ , if available)	CO ₂ equivalent	tCO₂:	43630.35	tCO₂:	41763.62
		CH₄ – tCO₂e:	0	CH₄ – tCO₂e:	0
		N₂O – tCO₂e:	0	N₂O – tCO₂e:	0
		HFCs – tCO₂e:	0	HFCs – tCO₂e:	0
Total Scope 1 and Scope 2 emission intensity per rupee of turnover**	Metric tonnes of CO ₂ Equivalent/ Million	1.762		1.966	
(Total Scope 1 and Scope 2 GHG emissions / Revenue from operations)					
Total Scope 1 and Scope 2 emission intensity per rupee of turnover** adjusted for Purchasing Power Parity (PPP)	Metric tonnes of CO ₂ Equivalent/ Million	36.403		44.04	
(Total Scope 1 and Scope 2 GHG emissions / Revenue from operations adjusted for PPP)*					

Parameter	Unit	FY 2024-25	FY 2023-24
Total Scope 1 and Scope 2 emission intensity in terms of physical output		-	-
Total Scope 1 and Scope 2 emission intensity (optional) – the relevant metric may be selected by the entity		-	-

*The revenue from operations has been adjusted for PPP based on the latest PPP conversion factor published for the year 2025 by IMF for India which is 20.66.

<https://www.imf.org/external/datamapper/PPPEX@WEO/OEMDC>

**Emission intensity for FY 2024–25 has been calculated based on Natco Pharma's total turnover, and is expressed in terms of emission per million rupees of turnover.

Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency?

No Independent assessment, evaluation, or assurance is not undertaken during the reporting year. However, in alignment with BRSR guidelines, we are committed to initiating these processes in the future.

8. Does the entity have any project related to reducing Green House Gas emission? If yes, then provide details.

NATCO Pharma is committed to minimizing its carbon footprint and actively pursuing sustainable operational practices. As part of this commitment, the organization undertook a comprehensive set of sustainability related projects to enhance energy efficiency and reduce environmental impact. Building on its existing solar and wind energy infrastructure, it expanded renewable energy generation through the commissioning of ground-mounted and rooftop solar systems. Cooling and refrigeration systems were optimized through refrigerant replacement, equipment upgrades, and centralized chilled water distribution. Energy savings were further achieved through process optimization, targeted retrofits and system improvements across heating, and de-watering operations. The transition from diesel to pipeline natural gas in boiler operations supported cleaner fuel usage, contributing to lower carbon intensity and improved operational sustainability. Through these process optimization and strategic equipment upgrades, the organization achieved an estimated energy savings of approximately 1,054,066 kWh during FY 24-25.

During the FY 24-25, our company successfully integrated 25.05% renewable electricity into its total electricity consumption, which contributed significantly to lowering our environmental impact, leading to the avoidance of 14582.55 tons of CO₂ emissions.

9. Provide details related to waste management by the entity, in the following format:

Parameter	FY 2024-25	FY 2023-24
Total Waste generated (in metric tonnes)		
Plastic waste (A)	16.352	42.8
E-waste (B)	5.629	6.52
Bio-medical waste (C)	19.591	21.35
Construction and demolition waste (D)	0	5
Battery waste (E)	10.369	520 Nos
Radioactive waste (F)	0	0
Other Hazardous waste. Please specify, if any. (G)	4635.149	4623.3
Other Non-hazardous waste generated (H). Please specify, if any. (Break-up by composition i.e. by materials relevant to the sector)	351.698	241.67
Total (A+B + C + D + E + F + G + H)	5038.794	4940.6 + 520 Nos
Waste intensity per rupee of turnover** (Total waste generated / Revenue from operations), MT/ ₹ Mn	0.12	0.14
Waste intensity per rupee of turnover** adjusted for Purchasing Power Parity (PPP) (Total waste generated / Revenue from operations adjusted for PPP)* MT/turnover adjusted to PPP	2.541	3.10

Parameter	FY 2024-25	FY 2023-24
Waste intensity in terms of physical output	-	-
Waste intensity (optional) – the relevant metric may be selected by the entity	-	-
For each category of waste generated, total waste recovered through recycling, re-using or other recovery operations (in metric tonnes)		
Category of waste		
(i) Recycled	3072.461	4,489.54
(ii) Re-used	0	273.22
(iii) Other recovery operations (Waste to energy Recovery)	1621.266	0
Total	4693.727	4,762.76
For each category of waste generated, total waste disposed by nature of disposal method (in metric tonnes)		
Category of waste		
(i) Incineration	126.996	50.19
(ii) Landfilling	158.02	228.61
(iii) Other disposal operations (TSDF)	279.097	0
Total	285.016	278.80

*The revenue from operations has been adjusted for PPP based on the latest PPP conversion factor published for the year 2025 by IMF for India which is 20.66.

<https://www.imf.org/external/datamapper/PPPEX@WEO/OEMDC>

**Waste generation intensity for FY 2024–25 has been calculated based on Natco Pharma's total turnover, and is expressed in terms of waste generation per million rupees of turnover.

Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency?

No. During the reporting year, independent assessment, evaluation, or assurance was not conducted. Briefly describe the waste management practices adopted in your establishments. Describe the strategy adopted by your company to reduce usage of hazardous and toxic chemicals in your products and processes and the practices adopted to manage such wastes.

NATCO Pharma implements a comprehensive waste management plan focused on minimization, segregation, and safe disposal. The company adopts a green chemistry approach to optimize the use of hazardous chemicals and ensures responsible waste handling.

1. Hazardous Waste: Managed through co-processing in authorized cement industries, treatment at certified pre-processing facilities, and disposal in TSDFs. Used oil, e-waste, and batteries are sent to licensed recyclers or managed through structured buy-back programs.
2. Non-Hazardous Waste: Combustible waste undergoes pre-processing before co-processing in cement kilns, paper waste is sent to ITC for recycling, and metal scrap is handled by authorized recyclers. Plastic waste is managed under Extended Producer Responsibility (EPR) initiatives.
3. Biodegradable Waste: Processed through organic waste converters to produce compost for facility landscaping.
4. Effluent & Sewage Treatment: ZLD, ETP and STP systems to treat the waste water to meet environmental compliance standards.

Key Initiatives:

- ETP-treated water has been utilized for boiler feed instead of soft water, eliminating the need for softener plant operation and resin regeneration salts. As a result, ATFD salt generation has been reduced by 34% in FY 24-25 compared to the previous year, enhancing water conservation and sustainability.
- NATCO pharma replaced 150,000 paper tea cups with reusable stainless-steel ones and reduced excess tissue use and canteen paper, saving approximately 1,812 tissue reels.

- Several digital transformation initiatives have been implemented, including the digitization of chromatograms and laboratory records through Electronic Laboratory Notebooks (ELNB), and the adoption of systems such as Temperature Monitoring System (TMS), Document Management System (DMS), TRACKWISE, and e-signature tools. Additional measures like default duplex printing, digital payslips, electronic access to SOPs, and SAP-based approval workflows have also been introduced. These efforts have led to a 50% reduction in HPLC-related paper usage and an overall reduction of 793,500 A4 sheets.

10. If the entity has operations/offices in/around ecologically sensitive areas (such as national parks, wildlife sanctuaries, biosphere reserves, wetlands, biodiversity hotspots, forests, coastal regulation zones etc.) where environmental approvals / clearances are required, please specify details in the following format:

S. No.	Location of operations/offices	Type of operations	Whether the conditions of environmental approval / clearance are being complied with? (Y/N) If no, the reasons there of and corrective action taken, if any.
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Not applicable. None of the operations/ offices are in/around ecologically sensitive area

11. Details of environmental impact assessments of projects undertaken by the entity based on applicable laws, in the current financial year:

Name and brief details of project	EIA Notification No.	Date	Whether conducted by independent external agency (Yes / No)	Results communicated in public domain (Yes / No)	Relevant Web link
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Not applicable. None of our projects have undergone an environmental impact assessment.

12. Is the entity compliant with the applicable environmental law/ regulations/ guidelines in India; such as the Water (Prevention and Control of Pollution) Act, Air (Prevention and Control of Pollution) Act, Environment protection act and rules thereunder (Y/N). If not, provide details of all such non-compliances, in the following format:

S. No.	Specify the law / regulation / guidelines which was not complied with	Provide details of the non- compliance	Any fines / penalties / action taken by regulatory agencies such as pollution control boards or by courts	Corrective action taken, if any
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Not applicable



Leadership Indicators

1. Water withdrawal, consumption and discharge in areas of water stress (in kilolitres):

For each facility/plant located in areas of water stress, below are the following information:

- Name of the area: Thiruvottiyur (Chennai); Ameerpet (Hyderabad)
- Nature of operations: Natco Pharma Limited – Chemical Division; Natco Research Centre, Hyderabad

Parameter	FY 2024-25	FY 2023-24
Water withdrawal by source (in kilolitres)		
(i) Surface water	0	0
(ii) Groundwater	2783.25	924
(iii) Third party water	19923	21742
(iv) Seawater / desalinated water	0	0
(v) Others	0	0
Total volume of water withdrawal (in kilolitres)	22706.25	22666
Total volume of water consumption (in kilolitres)	22526.25	20689
Water intensity per rupee of turnover* (Water consumed / turnover)	0.55	0.58
Water intensity (optional) – the relevant metric may be selected by the entity	-	-
Water discharge by destination and level of treatment (in kilolitres)		
(i) Into Surface water		
- No treatment	0	-
- With treatment – please specify level of treatment	0	1797 KL – sent to public sewer
(ii) Into Groundwater		
- No treatment	0	0
- With treatment – please specify level of treatment	0	0
(iii) Into Seawater		
- No treatment	0	0
- With treatment – please specify level of treatment	0	0
(iv) Sent to third-parties		
- No treatment	-	0
- With treatment – please specify level of treatment	180KL- after primary treatment	180 KL- after primary treatment
(v) Others		
- No treatment	0	0
- With treatment – please specify level of treatment	0	0
Total water discharged (in kilolitres)	180	1977

*Water consumption intensity for FY 2024–25 has been calculated based on Natco Pharma's total turnover, and is expressed in terms of water consumed per million rupees of turnover.

Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency?

No independent assessment/evaluation/assurance has been carried out in the reporting year.

2. Please provide details of total Scope 3 emissions & its intensity, in the following format:

Parameter	Unit	FY 2024-25	FY 2023-24
Total Scope 3 emissions (Break-up of the GHG into CO ₂ , CH ₄ , N ₂ O, HFCs, PFCs, SF ₆ , NF ₃ , if available)	Metric tonnes of CO ₂ equivalent	-	-
Total Scope 3 emissions per rupee of turnover		-	-
Total Scope 3 emission intensity (optional) – the relevant metric may be selected by the entity			

Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency?

No independent assessment/evaluation/assurance has been carried out in the reporting year.

3. With respect to the ecologically sensitive areas reported at Question 11 of Essential Indicators above, provide details of significant direct & indirect impact of the entity on biodiversity in such areas along-with prevention and remediation activities.

Not Applicable

4. If the entity has undertaken any specific initiatives or used innovative technology or solutions to improve resource efficiency, or reduce impact due to emissions / effluent discharge / waste generated, please provide details of the same as well as outcome of such initiatives, as per the following format:

Sr. No.	Initiative undertaken	Details of the initiative (Web-link, if any, may be provided along with summary)	Outcome of the initiative
1	Chennai Plant (Energy Conservation)	A ground-mounted solar system installed that generates approximately 751 kW of renewable energy.	Total renewable energy produced in the FY 24-25 is 9,91,650 kWh.
2	Chennai Plant (Energy Efficiency)	A PLC-based Thyristor Control Panel was installed for the Hot Oil Generator.	This upgrade led to annual energy savings of 97,200 kWh and a reduction of 70.66 tCO ₂ e emission.
		Motion sensors were installed on the air curtain system.	This measure led to annual savings of 1,18,800 kWh and reducing emissions by 86.37 tCO ₂ e.
		A high-efficiency Sludge De-watering Machine was installed.	This initiative enables annual energy savings of 5,800 kWh and a reduction of 4.22 tCO ₂ e emissions.
		Traditional FRP cooling tower fans were replaced with E-Glass Epoxy FRP models.	The initiative results in annual energy savings of 40,992 kWh and lowered emissions by 29.80 tCO ₂ e.
		Five 1000-liter cabinet were replaced with a single 7,000-liter walk-in cabinet.	This leads to the annual energy saving of 46,224 kWh and reduced 33.60 tCO ₂ e emissions.
		Sodium vapor lamps have been replaced with LED lamps in the warehouse.	This initiative saved approx. 31,452 kWh energy and which accounts for 22.87 tCO ₂ e emissions.
3	Chennai Plant (Waste Reduction)	ETP water is recycled and used as boiler feed, eliminating softener plant use and salt for resin regeneration.	This transition has led to a 34% reduction in ATFD salt generation and annual water savings of 1,825 kl.
4	Chennai Plant (Water Conservation)	A rainwater harvesting station was added with an 850 m ² catchment area and a 20 kl storage capacity.	The installation has increased the use of rainwater.
5	Vizag (Energy Efficiency & Emission Control)	The AHU AC blower was upgraded to an EC fan.	These initiatives reduced the annual energy consumption by 9125 kWh and emission by 6.63 tCO ₂ e.
		The chilled water set point has been optimized to align with ambient conditions.	These initiatives led to an annual reduction of 3,39,450 kWh in energy consumption and 330 tCO ₂ e emissions.
		The boiler has been transitioned from diesel to PNG.	The initiative reduced an annual emission of 240 tCO ₂ e.
6	Vizag (Water Conservation)	Collecting and reusing ozone-treated water instead draining.	Approx. 5 kl per day water saving was observed.
		A surface rainwater harvesting system was implemented to strengthen water conservation.	1200 kl of rainwater was successfully collected.
7	Vizag (Paper Consumption)	Temperature Management System (TMS), Document Management System (DMS), and TRACKWISE software were implemented alongside the shift to digital records.	An annual reduction of 28,000 paper sheets including a 50% cut in HPLC-related usage has helped preserve three trees per year.
8	Attivaram (Energy Conservation)	Installed 0.4 MW solar system.	Total renewable energy generated in the FY 24-25 is 4,24,748 kWh.
9	Dehradun (Energy Efficiency)	Interconnection of supply and return chilled water pipelines of two chillers located in Kedar & Badri Block.	The initiative has reduced energy consumption by 15 to 35%.

Sr. No.	Initiative undertaken	Details of the initiative (Web-link, if any, may be provided along with summary)	Outcome of the initiative
10	Dehradun (Water conservation)	Utilization of RO/EDI reject water in general & wash areas.	This initiative results in net fresh water saving of 5 kl/day.
11	Mekaguda (Waste Management)	Composting of 45.76 tons garden waste & canteen waste.	Successfully converted the garden waste into 20 tons of compost.
12	Nagarjuna Sagar (Emission Reduction)	Chiller pump optimization by reducing the chiller pump frequency.	This initiative resulted in reduction of approx. 3, 01,490 kWh in energy consumption and 273.57 tCO ₂ e emissions during FY 24–25.
13	NRC (Energy Efficiency)	Hot water geyser usage in restrooms was optimized.	1200. This initiative saved approximately 61,200 kWh energy per year and reduce emission by 44.5 tCO ₂ e.
		12 out of 40 streetlights were replaced with solar-powered alternatives.	This initiative saved approximately 2333 kWh energy per year and reduce emissions by 1.70 tCO ₂ e.
14	NRC (Water-use Efficiency)	A dishwasher was procured for glassware in ARD HPLC, and water flow meters are being installed in process labs.	The initiatives reduced 144 litres of water consumption per day.

5. Does the entity have a business continuity and disaster management plan? Give details in 100 words/ web link.

At NATCO, our Business Continuity and Disaster Management Plan is an integral part of our overall Risk Management Framework, aimed at ensuring resilience across all business units and functions during unexpected disruptions. In line with our Risk Management Policy, which identifies environmental risks as a key area of concern, this plan outlines comprehensive strategies for mitigating and managing risks that could impact business continuity. The plan outlines the company's emergency preparedness, including control protocols, and response procedures. It also addresses critical elements such as environmental assessments, evacuation strategies, shutdown methods, and emergency coordination charts.

To enable swift and organized action, specific duties are assigned, with designated gathering points, medical facilities, safety documentation (MSDS), and contact information for external and mutual aid support. Additionally, all personnel including contract workers receive training to enhance readiness in crisis situations.

This layered and systematic approach demonstrates NATCO's dedication to maintaining stability, environmental stewardship, and resilience across all levels of operation, in alignment with its overarching risk governance structure.

6. Disclose any significant adverse impact to the environment, arising from the value chain of the entity. What mitigation or adaptation measures have been taken by the entity in this regard.

During the reporting periods, the Company did not encounter any significant adverse environmental impact incidents attributable to its value chain operations. Through proactive engagement and collaboration with suppliers, we continue to uphold its commitment to sustainable and responsible sourcing practices across the supply chain. Our Sustainable Procurement Policy focuses on minimizing environmental impact across its value chain. This policy acknowledges areas where sustainability improvements are necessary.

7. Percentage of value chain partners (by value of business done with such partners) that were assessed for environmental impacts.

We have established a predefined checklist for our value chain partners during their onboarding, which outlines the relevance and integration of our environmental sustainability standards within procurement practices. In addition, we are actively developing a formal evaluation system to measure and monitor the environmental performance and impact of our value chain partners, aiming to enhance accountability and drive continuous improvement across the supply chain

7

PRINCIPLE

Businesses, when engaging in influencing public and regulatory policy, should do so in a manner that is responsible and transparent.



Our approach as a responsible business is grounded in our core values of integrity, patient-centricity, and compliance with all applicable laws and regulations. We strive to ensure that our interactions with regulatory bodies are constructive, evidence-based, and aligned with national healthcare priorities

Essential Indicators**a. Number of affiliations with trade and industry chambers/ associations.**

Natco Pharma Limited is committed to advancing the collective interests of the pharmaceutical industry and the broader community through active participation in trade and industry chambers/associations. As of the reporting period, Natco Pharma is a member of nine such trade and industry associations.

b. List the top 10 trade and industry chambers/ associations (determined based on the total members of such body) the entity is a member of/ affiliated to.

S. No.	Name of the trade and industry chambers/ associations	Reach of trade and industry chambers/ associations (State/National)
1	Federation of Indian Chambers of Commerce & Industry (FICCI)	National
2	Federation of Telangana Chambers of Commerce and Industry (FTCCI)	State
3	Bulk Drug Manufacturers Association of India (BDMA)	National
4	Indian Pharmaceutical Alliance (IPA)	National
5	Indian Drug Manufacturing Association (IDMA)	National
6	Confederation of Indian Industry (CII)	National
7	Pharmaceuticals (PHARMEXCIL) Export Promotion Council of India	National
8	Agro Chem Federation of India (ACFI)	National
9	Hyderabad Management Association (HMA)	State
10	Crop Care Foundation of India	National

2. Provide details of corrective action taken or underway on any issues related to anti-competitive conduct by the entity, based on adverse orders from regulatory authorities.

Name of authority	Brief of the case	Corrective action taken
No adverse orders were passed from regulatory authorities.		

Leadership Indicators

1. Details of public policy positions advocated by the entity:

S. No.	Public policy advocated	Method resorted for such advocacy	Whether information available in the public domain? (Yes/No)	Frequency of review by board (Annually/ half yearly/ quarterly / others – please specify)	Web-link, if available
No					

8

PRINCIPLE

Businesses should promote inclusive growth and equitable development.



At Natco Pharma Limited, inclusive growth and equitable development are integral to our business philosophy. We are committed to ensuring that the benefits of our operations extend beyond economic gains to encompass positive social and environmental outcomes. Our approach focuses on improving the quality of life for underserved and vulnerable communities through targeted interventions in education, skill development, and healthcare.

Through our Corporate Social Responsibility (CSR) initiatives, we support various programs aimed at improving access to healthcare services, promoting women and child welfare, and facilitating quality education in rural and semi-urban areas. We also work with local communities to create employment opportunities and encourage participation in value-chain activities, thereby supporting economic self-reliance.

We remain committed to aligning our development programs with national priorities and Sustainable Development Goals (SDGs), ensuring that our growth is both inclusive and sustainable. Our efforts are guided by transparency, stakeholder engagement, and long-term community impact, reaffirming our role as a responsible corporate citizen.

Essential Indicators

1. Details of Social Impact Assessments (SIA) of projects undertaken by the entity based on applicable laws, in the current financial year.

Name and brief details of project	SIA Notification No.	Date of notification	Whether conducted by independent external agency (Yes / No)	Results communicated in public domain (Yes / No)	Relevant Web link
Not Applicable					

2. Provide information on the project(s) for which ongoing Rehabilitation and Resettlement (R&R) is being undertaken by your entity:

S. No.	Name of Project for which R&R is ongoing	State	District	No. of Project Affected Families (PAFs)	% of PAFs covered by R&R	Amounts paid to PAFs in the FY (In INR)
Not Applicable						

3. Describe the mechanisms to receive and redress grievances of the community.

NATCO Pharma Limited has a formal Stakeholder Grievance Redressal Policy in place to ensure fair, transparent, and timely resolution of concerns raised by stakeholders, including communities.

Policy web-link: [Stakeholder Grievance Redressal Policy](#)

4. Percentage of input material (inputs to total inputs by value) sourced from suppliers:

	FY 2024-25	FY 2023-24
Directly sourced from MSMEs/ small producers	16%	15%
Directly from within India	71%	74.9%*

Note: This data pertains to procurement in India

*Data updated/reconsidered from last year's BRSR report.

5. Job creation in smaller towns – Disclose wages paid to persons employed (including employees or workers employed on a permanent or non-permanent / on contract basis) in the following locations, as % of total wage cost

Location	FY 2024-25	FY 2023-24
Rural	33.14%	18.45%
Semi-Urban	27.91%	46.88%
Urban	0%	0
Metropolitan	38.95%	34.67%

(Place categorized as per RBI Classification System - rural / semi-urban / urban / metropolitan).

*Data updated/reconsidered from last year's BRSR report.

Leadership Indicators

1. Provide details of actions taken to mitigate any negative social impacts identified in the social impact assessments (Reference: Question 1 of essential indicators above):

Not Applicable.

2. Provide the following information on CSR projects undertaken by your entity in designated aspirational districts as identified by government bodies:

S. No.	State	Aspirational district	Amount spent (In ₹)
1	Telangana	Bhadradri Kothagudem	31,95,038

List of designated aspirational districts - <https://www.niti.gov.in/sites/default/files/2023-07/List-of-112-Aspirational-Districts%20%281%29.pdf>

3. (a) **Do you have a preferential procurement policy where you give preference to purchase from suppliers comprising marginalized/vulnerable groups?**

No,

We maintain a non-discriminatory approach in our supplier selection process and provide equal opportunities for all potential suppliers to engage with us, and actively seek opportunities to procure from local suppliers and small-scale industries/MSMEs near our facilities. While we have not explicitly included marginalized/vulnerable groups in our supplier qualifying criteria, we remain committed to fair and inclusive business practices.

(b) **From which marginalized/vulnerable groups do you procure?**

At present, NATCOPharma Limited has not explicitly included marginalized or vulnerable groups in our supplier qualifying criteria. However, we are committed to adopting inclusive and fair business practices.

While our procurement process is non-discriminatory and based on objective criteria such as quality, delivery timelines, cost, and supplier capabilities, we actively seek opportunities to engage with local suppliers, MSMEs, and small-scale industries located near our operations. Going forward, our CSR initiatives in the areas of education, health, hygiene, women's welfare, and child welfare are aimed at supporting underprivileged and marginalized communities.

(c) **What percentage of total procurement (by value) does it constitute?**

We are in the process of identifying and track procurement from suppliers consisting of marginalized and vulnerable groups.

4. **Details of the benefits derived and shared from the intellectual properties owned or acquired by your entity (in the current financial year), based on traditional knowledge:**

S. No.	Intellectual Property based on traditional knowledge	Owned/ Acquired (Yes/No)	Benefit shared (Yes / No)	Basis of calculating benefit share
Not Applicable.				

5. **Details of corrective actions taken or underway, based on any adverse order in intellectual property-related disputes wherein usage of traditional knowledge is involved.**

Name of authority	Brief of the Case	Corrective action taken
There were no adverse orders during the reporting period in relation to intellectual property disputes involving the usage of traditional knowledge. Accordingly, no corrective actions were required. NATCO Pharma Limited respects and adheres to applicable intellectual property laws and is committed to the ethical use of traditional knowledge in its operations.		

6. **Details of beneficiaries of CSR projects:**

S. No.	CSR Project	No. of persons benefitted from CSR Projects	% of beneficiaries from vulnerable and marginalized groups
1	Early Childhood Education (ECE) Anganwadi Centres (AWC)	713	47.99%
2	Bala Vikasa Kendra (BVK)	24	95.82%
3	Post School Tuitions for Govt School Children (Grade 1 to 5)	632	50.46%
4	Additional Full Time Teaching Volunteer- Govt Primary Schools	309	30.4%
5	Additional Full Time Teaching Volunteer- Govt Primary Schools Paropakarini Balika School	66	40%

S. No.	CSR Project	No. of persons benefitted from CSR Projects	% of beneficiaries from vulnerable and marginalized groups
6	Government Primary School Prabhat Nagar, Telangana- Educational Interventions & Maintenance	615	-
7	Additional Teaching Volunteers for NATCO Govt High School, Borabanda, Hyderabad, Telangana- Educational and Infrastructural Interventions & Maintenance	1455	60.77%
8	NATCO Zilla Parishadh High School, Kothur, Rangareddy District, Telangana- Infrastructure Intervention: Construction of New School Building & Maintenance	567	-
9	Additional Teaching Volunteer for Paropakarini Balika High Schools, Telangana	43	25.64%
10	Coaching for Gurukul Entrance Examinations for Govt School Children, Telangana	88	52.27%
11	Coaching for Navodaya Entrance Examinations for Govt School Children, Andhra Pradesh	24	79.16%
12	Hippocampus School, Rangapur, Rangareddy District, Telangana	1258	65.61%
13	NATCO School of Learning, Gollamudipadu, Guntur District, Andhra Pradesh	462	27.48%
14	Education Project - Telangana (Bhadradi Kothagudem & Medchal Malkajgiri) in Collaboration with Central Square Foundation (CSF)	69700	-
15	NATCO Mobile Health Clinics- Sanjeevini	7439	-
16	Medicine support to patients in MNJ and GGH	4920	-
17	Counsellors Support to Government Hospitals in Hyderabad (Gandhi Hospital, Osmania Hospital, Niloufer Hospital & MNJ Cancer Hospital)-Footfall	349255	-
18	NATCO Eye Center in collaboration with LVPEI-Kothur Telangana	28287	-
19	NATCO Eye Center in collaboration with LVPEI-Guntur - Muniipalli Andhra Pradesh	1689	-
20	NATCO Cancer Center, Guntur Government General Hospital (Footfall)	13354	-
21	Oncology Medicines support to NATCO Cancer Centre MNJ Cancer Hospital (Hyderabad)	7369	-
22	Oncology Medicines support to NATCO Cancer Centre, Guntur Government General Hospital	1381	-
23	Veterinary Interventions	98	-
24	Specialized Health Camps - Cancer Screening Camps in collaboration with MNJ Cancer Hospital and Basavatarakam Cancer	389	-
25	Specialized Health Camps - Orthopedic camp In collaboration with Sravejana Foundation at Nagarjuna Sagar location	278	-
26	Specialized Health Camps - Eye screening Camps in collaboration with LVPEI-Nagarjuna Sagar	311	-
27	Specialized Health Camps - Founder's day at Gollamudipadu-Free Health Screening Camps Dental, Eye, Orthopaedic	431	-
28	Distribution of Nutrition kits to Treatment TB Patients Wanaparthi & Nagarkurnool Districts	1203	-
29	Construction of new Toilet blocks along with upgradation of existing toilets at MJPTBCWREIS (Mahatma Jyothiba Phule Telangana Backward classes Welfare Residential Educational Institutions Society) Nagarjuna Sagar	1600	-

9

PRINCIPLE**Businesses should engage with and provide value to their consumers in a responsible manner.**

At Natco Pharma Limited, we place the highest importance on the well-being, safety, and trust of our consumers. As a healthcare company, we recognize our critical responsibility to ensure that our products are safe, effective, accessible, and affordable. Our engagement with consumers is guided by ethical practices, scientific rigor, regulatory compliance, and a commitment to quality.

We maintain stringent quality control and pharmacovigilance systems to monitor product safety and efficacy throughout their lifecycle. Transparent labeling, responsible marketing, and adherence to all applicable regulatory standards are integral to our approach. We also ensure that consumers have access to accurate product information and channels to raise concerns or provide feedback.

Our initiatives aim to meet customer expectations for life-threatening and chronic diseases, thereby improving access to essential treatments. We are continuously innovating to address unmet medical needs and provide long-term value to our customers in India and globally. NATCO remains committed to responsible consumer engagement through continuous improvement, transparency, and integrity in all aspects of its operations.

**Essential Indicators****1. Describe the mechanisms in place to receive and respond to consumer complaints and feedback.**

Natco Pharma Limited has established a structured and responsive grievance redressal mechanism to handle consumer complaints and feedback with a primary focus on product quality and patient safety. Consumers, healthcare professionals, and other stakeholders can lodge queries through multiple channels, including email rarely postal correspondence. Queries can be submitted via our dedicated email ID: grievanceredressal@natcopharma.co.in or addressed by post to Natco House, Hyderabad.

Upon receipt, the Marketing Department logs the complaint and collects the relevant information and the support document from the complainant before logging the complaint. Subsequently, they route it through the Quality Assurance for further investigation. Since pharma companies do not market the product directly to the patients, direct surveys are avoided at best. Whereas such feedbacks are regularly taken from the Doctors through PSUR. This is a regulatory approved practice. following established Standard Operating Procedures (SOPs). Depending on the nature of the issue, departments such as Regulatory Affairs and Product Development may also be involved. Natco also operates a robust Pharmacovigilance system in alignment with national and international regulations to monitor and address adverse drug reactions and safety-related concerns.

Once investigations are complete, responses and resolution updates are shared with the complainant, and appropriate corrective and preventive actions (CAPA) are taken to mitigate recurrence. This process ensures continuous improvement in product quality and enhances consumer trust.

2. Turnover of products and/or services as a percentage of turnover from all products/services that carry information about:

	As a % to total turnover
Environmental and social parameters relevant to the product	Not Applicable
Safe and responsible usage	100%
Recycling and/or safe disposal	Not Applicable

Note: Natco Pharma complies with all applicable national and international regulatory requirements concerning product labelling information. 100% of the Company's pharmaceutical products include information related to safe and responsible usage, such as dosage guidelines, precautions, and contraindications, as required by relevant drug regulatory authorities. This ensures patient safety and proper use of our products.

3. Number of consumer complaints in respect of the following:

	FY 2024-25			FY 2023-24		
	Receive during the year	Pending resolution at end of year	Remarks	Received during the year	Pending resolution at end of year	Remarks
Data privacy	0	0	-	0	0	-
Advertising	0	0	-	0	0	-
Cyber-security	0	0	-	0	0	-
Delivery of essential services	0	0	-	0	0	-
Restrictive trade practices	0	0	-	0	0	-
Unfair trade practices	0	0	-	0	0	-
Other	0	0	-	0	0	-

Note: During the reporting period, Natco Pharma Limited did not receive any consumer complaints related to product quality, labelling, advertising, or delivery. We remain committed to maintaining high standards of consumer safety, transparency, and satisfaction.

4. Details of instances of product recalls on account of safety issues.

	Number	Reasons for recall
Voluntary recalls	0	-
Forced recalls	0	-

5. Does the entity have a framework/policy on cyber security and risks related to data privacy? If available, provide a web link to the policy.

Yes, Natco Pharma Limited has a defined Data Privacy and Cyber Security Policy that outlines our approach to safeguarding sensitive data and mitigating cyber risks. The framework covers governance, access control, risk prevention, and compliance with legal and regulatory requirements. Oversight is maintained by senior leadership and the IT Security Team, ensuring policy implementation and periodic review. Confidential data—including HR records, business information, and contractual documents—is protected through strict access controls, with permissions granted only to authorized personnel. Data Loss Prevention (DLP) tools and cybersecurity protocols are implemented to prevent internal or external breaches. All users of the Company's IT assets are bound by guidelines to avoid unauthorized data sharing or misuse. Incident response mechanisms are in place for timely detection, investigation, and resolution of potential cyber threats or data breaches. Employees and vendors receive regular training on cybersecurity awareness and their responsibilities under the policy. Violations or suspected breaches must be reported to the Grievance Redressal Officer or relevant department heads. The policy is reviewed annually to ensure continued alignment with evolving regulatory standards and emerging cyber risks.

Policy web-link- <https://www.natcopharma.co.in/wp-content/uploads/2024/08/Data-policy-28082024103653.pdf>

6. Provide details of any corrective actions taken or underway on issues relating to advertising, and delivery of essential services; cyber security and data privacy of customers; re-occurrence of instances of product recalls; penalty/action taken by regulatory authorities on the safety of products/services.

During the reporting period, Natco Pharma Limited has not encountered any regulatory penalties or adverse actions related to advertising, delivery of essential services, cybersecurity, or data privacy of customers. There have been no instances of product recalls or re-occurrences that required corrective action.

We maintain a proactive approach to ensure compliance with all applicable laws and regulations. Our internal monitoring systems, quality assurance processes, and cybersecurity protocols are regularly reviewed and enhanced to prevent potential issues. In the event of any identified concerns, corrective and preventive actions are promptly implemented to safeguard product safety, service quality, and customer data privacy.

7. Provide the following information relating to data breaches:

a. Number of instances of data breaches- Zero data breaches

Natco Pharma Limited has established a comprehensive framework to prevent data breaches and protect sensitive information. This includes a robust Data Privacy and Cybersecurity Policy that outlines the responsibilities of all employees, contractors, and partners in safeguarding data confidentiality and integrity.

On the technical front, we employ multiple layers of security controls such as firewalls, antivirus software, intrusion detection and prevention systems, and regular vulnerability assessments to detect and mitigate potential threats. Access to sensitive data is restricted to authorized personnel only, based on the principle of least privilege.

b. Percentage of data breaches involving personally identifiable information of customers – Zero

During the reporting period, as there were no instances of data breaches reported. Natco Pharma Limited's stringent data protection policies and technical safeguards have effectively prevented any unauthorized access or disclosure of personally identifiable information of customers. Our proactive approach to cybersecurity ensures that sensitive customer data remains secure and confidential at all times.

c. Impact, if any, of the data breaches

As no data breaches occurred during the reporting period, there have been no adverse impacts on the privacy or security of customer information. Our ongoing commitment to maintaining robust cybersecurity measures and regular system audits helps us minimize risks and ensures that customer trust and data integrity are upheld consistently.

Leadership Indicators

1. Channels/platforms where information on products and services of the entity can be accessed.

Natco Pharma Limited provides access to information on its products through multiple platforms to ensure transparency and easy accessibility for stakeholders, healthcare professionals, and consumers.

- (i) Official Website: Comprehensive details regarding our business operations—including finished dosage formulations, active pharmaceutical ingredients (APIs), and crop health sciences—can be accessed through our corporate website at: <https://www.natcopharma.co.in/our-business/>
- (ii) Investor Relations & Annual Reports: Product pipelines, performance, and operational highlights are regularly published in our annual reports and investor presentations available at: <https://www.natcopharma.co.in/investor-relations/policies>

2. Steps taken to inform and educate consumers about safe and responsible usage of products and/or services.

The Company is collaborating with partners and customers to develop innovative approaches to educate consumers about safe and responsible usage of our products and services, with a focus on enhancing communication efforts

- i) We ensure that product labels and packaging include clear instructions, warnings, and dosage information to help consumers use the product safely and effectively.
- ii) We provide Patient Information leaflets (PILs) with products, which outline the benefits, risks, and proper use of the medication.
- iii) Our website provides accurate, up-to-date information on products, including dosage instructions, side effects, and interactions.
- iv) We have established customer support services that provide consumers with access to product information, and support for safe and responsible usage.

The weblinks for patient information leaflets (PILs) for some of the products are given below:

https://www.natcopharma.co.in/wp-content/uploads/2024/04/Zoldonat-Literature-NG_Natco-V3.pdf

https://www.natcopharma.co.in/wp-content/uploads/2024/04/Xpreza-Liter-KO_Natco.pdf

<https://www.natcopharma.co.in/wp-content/uploads/2024/04/Tipanat-Literature-Natco.pdf>

3. Mechanisms in place to inform consumers of any risk of disruption/discontinuation of essential services.

During FY24-25, no essential services were disrupted. Natco Pharma has adequate procedures/policies in place to tackle any such risks, and proper communication channels are established to inform customers about the same.

4. Does the entity display product information on the product over and above what is mandated as per local laws? Did your entity carry out any survey with regard to consumer satisfaction relating to the major products/services of the entity, significant locations of operation of the entity, or the entity as a whole? (Yes/No)

Yes. NATCO Pharma Limited complies with all local regulatory labeling requirements and, where relevant, provides product information beyond statutory mandates—such as storage instructions, dosage-related precautions, and patient safety advisories—to ensure informed and safe usage, especially for critical therapies like oncology.